Torrent Power Ltd. (TORNTPOWER)

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"Torrent Power Limited Q4 FY'25 Earnings Call"

May 14, 2025

MANAGEMENT : MR. SAURABH MASHRUWALA - EXECUTIVE DIRECTOR
& CHIEF FINANCIAL OFFICER , TORRENT POWER
LIMITED
MR. RISHI SHAH – GENERAL MANAGER , FINANCE ,
TORRENT POWER LIMITED
MR. JAYPRAKASH KHANWANI – AGM (FINANCE),
TORRENT POWER LIMITED

Moderator : Ladies and gentlemen, good day and welcome to the Torrent Power Limited Q4 FY '25 Earnings Call.

As a reminder, all participant s' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the confer ence over to Mr. Saurabh Mashruw ala – Executive Director and Chief Financial Officer. Thank you and over to you, sir.

Saurabh Mashruwala: Thank you. Good evening to all of you and thank you for joining Earning Call of Torrent Power Q4 FY '25.

First, I will take you to the performance of the quarter, after which phone lines will be open for Q&A session.

We will explain the performance of the company at PBT Level first and then we will take you to the tax expenses separately. Reported PBT for the quarter stood at Rs. 619 crores as compared to Rs. 617 crores in the corresponding quarter of last year, an increase of Rs. 2 crores on a reported basis.

As informed in the last quarter, 420 MW TPL solar project got commissioned during the last quarter. The plant is under stabilization phase , it was not able to make an optimum contribution to the bottom -line. Hence, the consolidated PB T has been impacted negatively. Considering plant running on a steady state basis, PB T for the quarter would have been higher by approximately Rs. 35 crores. Adjusted for the same, the adjusted PBT for the quarter stood at Rs. 654 crores as compared to Rs. 617 crores in the comparable quarter of last year. It is higher by Rs. 37 crores , there is growth about 6%.

The business sector contributing to the performance are as follows :

1. Contribution from distribution business improved by Rs. 112 crores mainly due to the higher volumes and increase in ROE and capitalization of CAPEX, solar incentive, another O &M incentive and true-up order adjustment.
2. Demand growth during the quarter was about 4% acr oss all our distribution areas.

Positive contributions of distribution business are partially offsetted by following reasons :

1. A lower contribution from the merchant power and LNG sale by about Rs. 88 crores.

LNG price has continued to remain elevated during the quarter trading between $12
to $17.
2. Corresponding merchant sales remain subdued due to elevated fuel price and lower
demand growth in the quarter.

3. However, the recent gas price has started with the same downward trends. Compatible
gas price, coupled with NV VN tenders and better demand for prospects, we expect the
situation should have improved going forward.
4. We got the Lo A from NVVN for DG EN project for 1150 MW and SUGEN for 150
MW plants. The operation period for these NVVN tenders is from 16th March to 15th
October and draw specification for the tender remains same as per the last year tenders.
5. Adjustable one -off as explained above, profitability for the solar generation improved
during the quarter by Rs. 43 crores. Partly, offsetted by the lower PL F for wind project
on account of inclement weather condition, having negative impact of about Rs. 30
crores. So the net positive impact for the renewable is Rs. 13 crores.
Moving on to the tax expenses :
As informed earlier , under the not e forming part of the published account, there has been a
decrease in tax expenses mainly due to the reversal of deferred tax liability being one time and
non-cash items. This completes the explanation of the financial performance during the quarter.
Moving on to the project update :
84 MW p out of 36 7 MWp MSE DCL project was commissioned in the quarter. With this
aggregate installed generation capacity of the company stood at 4.8 GW

as of 31st March '25
comprising of 2.7 GW gas capacity, 1.7 GW of renewable capacity and 362 MW coal -based
capacity. Pipeline project at the end of the quarter includes 3.1 GWp renewable capacities, 3
GW pumped storage capacities, and two transmission project at Khavda and the Solapur. Further
details on the transmission pipeline project have been summarized in our latest presentation,
investor presentation available at our website.
Now , I would like to take you through some of the key highlights during the year, including the
financial as well as operating, as well as strategic point :
1. First, d uring the year, the company did its maiden equity raise of Rs. 3,500 crores
through QIP, which is the first in the last three decades by the Torrent Group.
2. For gas -based power projects, we are able to supply power in the merchant market,
including NV VN tenders. And Section -11 was imposed first time on the gas -based
power plant by the government, contributing significantly to the bottom -line.
3. Our distribution business continues to set new operational benchmark with distribution
loss of 2.34% licensed distribution business , its achievement and one of the lowest
across the country comparable to global benchmark.
4. In our franchisee business area, Agra achieved its historical low AT& C losses of
6.94% compared to 58.77% when it was taken over in 2010.
On strategic front , the company made significant progress in building on its strategic initiative
by entering into the first of its kind in India , Energy Storage Facility Agreement with MS EDCL
for supplying 2000 MW from storage hydro project for 40 years. The net debt to equity of 0.40

and net debt to EBITDA of 1.41 x, the company enjoys a strong balance sheet position with one
of the best financial ratios among the private sector players in power sector, as well as is poise d
for the next phase of growth. That's all for today.
I would like to now request the coordinator to open the lines for Q&A session. We wish
everybody to stay safe and healthy. Thank you so much. Handing over to the operators .
Moderator: Thank you very much. We will now begin the question and answer session. First question comes
from the line of Mohit Kumar from ICI CI Securities. Please go ahead.
Mohit Kumar: Thanks for the opportunity . The first question is on the, what was the CAPEX in FY '25 and the
CAPEX amount budgeted for FY '26? And can you break up this across the businesses?
Saurabh Mashruwala: CAPEX for license distribution was about close to Rs. 1,300 crores for the full year. Franchisees
were about Rs. 275 crores. Transmission was Rs. 250 crores. And total CAPEX is about close
to Rs. 1,900 crores, means other than renewable CAPEX , I would say. Renewable is Rs. 2,500
crores.
Mohit Kumar: I am asking for the CAPEX breakup for FY '26?
Saurabh Mashruwala: The CAPEX for FY '26 has been expanded the distribution CAPEX Rs. 2000 crores, Rs. 1750
for the license distribution business, and about Rs. 250 crores for franchisee distribution

business. And Renewab le we have given in the investor PP T.
Mohit Kumar: Understood, sir. I think in investor PPT, you just mentioned the megawatt numbers, right? And the date o f commissioning, is that right?
Rishi Shah : Sorry , can you come again? Your voice is too low.
Mohit Kumar: My second question is on the NVVN contract, which you have signed in the month of March. Is it take or pay contract and what is the minimum guaranteed volume which you have agreed to?
Saurabh Mashruwala: So guaranteed volume is basically more or less in line with what we have done in the last year . So the specifications more or less remains the same in terms of methodology.
Mohit Kumar: Okay, understood sir. Any update on the progress of the 1.2 GW pumped storage project which is signed with the Maharashtra? What is the upda

te? Have you done the finan cial closer? Any color on that?
Saurabh Mashruwala: It is a 2 GW project, not 1.2.
Mohit Kumar: 2 GW, yes, yes.
Saurabh Mashruwala: And see, it's a 4 -5 years project. So it is currently the various statutory approvals we are doing, including DPR also. And in the process of land acquisitions also, this is what the progress is

right now because lots of statutory approvals we have to take . So that process is going on, land acquisition process is also going on.
Mohit Kumar: Understood sir. Thank you a nd all the best sir. Thank you.
Moderator: Thank you. The next question comes from the line of Sumit Kishore from Axis Capital. Please go ahead.
Sumit Kishore: So the first question is a follow up on what Mohit asked. So there is a CAPEX for renewables, which is almost Rs. 206 billion as the expected project cost. Is this the residual amount remaining? Or what is the CWIP, which is already there for renewables? So what is the balance CAPEX remaining for these projects? And in terms of a rough phase out over FY '25, '26, '27, is it going to be more FY' 26 heavy given the timelines of commissioning are more 2026, 2027 calendar year?
Rishi Shah : Yes. So you are right. The CAPEX which we have brought out in investor presentation is the total CAPEX . Out of which whatever we have done is being shown in the CWIP. So, balance CAPEX remains which is a significant part still remaining as far as outflow is concerned . You are right in terms of saying that '26 would be a larger number because of lot of commissioning being done in '26 and '27. So, '26 could be a larger number as far as renewable CAPEX is concerned. '27 should be lower than that depending on how we progress in terms of commis sioning of these projects.
Saurabh Mashruwala : So '26 will remain the heavy CAPEX here as per the regulat ed…
Sumit Kishore: And so if you could help us with the CWIP number for renewables specifically, it will just help us to better understand what you have done so far ?
Saurabh Mashruwala: Roughly about Rs. 2500 crores CAPEX for renewables to March '25 and significant number of CAPEX we are going to incur in the current year, FY '26.
Sumit Kishore: Got it. So out of 206, roughly Rs. 25 billion is what you have incurred so far.
Saurabh Mashruwala: Yes, exactly.
Sumit Kishore: So what has been the experience so far given power demand has been slightly depressed in , fairly depressed in April and then it's a decline in May for the first 13 -14 days. So how is your NVV N opportunity shaping out so far , is there acceptance? I know there is a pass through for variable cost but given the high overall power cost for anyone who's buying this power . What is your experience and update?
Saurabh Mashruwala: So they have increased the duration of the contract. They have increased. Last year it was June. Now they have extended it to October. Last year , it was up to June. Now they have extended it to October. So now May has started. So in fact, summer has started. It was a bit impacted because

of the rain and the weather factors, I would say. So hopefully now the rain is behind us. So hopefully it will start picking up. Summer will start picking up and demand will start improving.
Sumit Kishore: Is it reasonable to sort of gauge that April and period in May so far wouldn't have seen much offtake of this expensive power? Is that directionally a right conclusion to draw?
Saurabh Mashruwala: Yes, it is happening. During the peak period , it is happening with the NVVN tenders .
Sumit Kishore: Okay. And it's very clear that in the second quarter, there will be a direct benefit because this arrangement last year was only till June.
Saurabh Mashruwala: Yes, exactly.
Sumit Kishore: Is that right?

Saurabh Mashruwala: Yes. So i

t is now it's up to Oc tober. October 15, I would say.
Sumit Kishore: The last question, the UP privatization, what we are hearing is that the state will be divided into five circles for the two areas which are getting privatized. So is there any condition on how many circles one private player can take?
Saurabh Mashruwala: I think 5 or 6 circle they are talking about . And it s document in the preparation right now. So, possibly they will invite all private sector players to participate in the tender. So, more details will be, they are forming up the more details. Meeting is happening with the , Ministry of Power is also get involved in the tender ing process.
Sumit Kishore: Got it. So b ut there is more chance that the ratio can be higher for more than a couple of players, even 5 -6 circles will be there.
Saurabh Mashruwala: They will try to allocate to each of the players because ultimately you need the management bandwidth to handle all 6 circles together. So better for them also we will try to distri bute among the private players.
Sumit Kishore: And this will be regulated cost plus ROE model just like Ahmedabad , Surat.
Saurabh Mashruwala: Absolutely .
Sumit Kishore: Just finally, on pumped storage hydro, is there any progress in the 2 GW project? I know, I mean, this is, but any progress that you would like to highlight?
Saurabh Mashruwala: In terms of progress, as I have informed earlier to the Mohit that it is under various regulatory approval processes are going on . Land acquisition processes are going on right now. So first, you have to get the approval, various approvals and land possession and then construction activity and ordering will start.

Sumit Kishore: Okay . Thank you so much and wish you all the best.
Moderator: Thank you. The next question comes from the line of Satyadeep Jain from Ambit Capital. Please go ahead .
Satyadeep Jain: Thank you. First, another clarification question on the pump ed storage project . The energy storage facility agreement was signed recently as per the release. If I understand correctly, the agreement was that the capacity needs to be commissioned within 48 months of signing this agreement. Is there, given you are in the process of land acquisition and then construction doesn't look like , it will be commissioned within 48 months. I just wanted to understand, is that flexible, term for commissioning, which was laid out initially?
Saurabh Mashruwala: It is too early to comment on the timeline. So we are working. We know we are aware about the timeline. So we are working on the project right now on a various commissioning timeline.
Satyadeep Jain: So fair to say the CAPEX on this will not start in the next 2 years, the CAPEX outlay?
Saurabh Mashruwala: No, so it starts on the current year. Once land acquisition will happen , it is going to happen. So we will start committing the CAPEX because the PPA is in place. So we will start committing CAPEX from the current year onwards itself.
Satyadeep Jain: Secondly on the NVVN tender, needs more clarification. I know earlier questions also were asked on the same. The tender specified is 111 crunch days and there is a contract, minimum guaranteed offtake based on those crunch days. So I am guessing it started, it has been 2 months, so there would have been some crunch days in the last 2 months. How has been your offtake on the specified crunch days that h ave mentioned because the crunch days of 111 will be spread out across the 6 months if I understand correctly ?
Saurabh Mashruwala: Yes, it is spread out across 6 months. This is the minimum offtake we are talkin g about. It can be higher also.
Satyadeep Jain: But how was it in the, so how many crunch days have been there so far in the last two months out of 111?
Rishi Shah : Satyade ep, it is difficult to comment on the current quarter

in terms of crunch days and all, but if you look at it April and May, April, we saw some pickup in demand. May because of I think weather conditions, it has again gone down as far as overall demand is concerned . But if you really look at the exchange data, there are periods where the prices are touching Rs. 10 which indicates that there is higher demand and lower supply. So intermittently there has been offtake under the tender , but it would be difficult to give you exact numbers for the current quarter per se.
Satyadeep Jain: No, I was trying to understand if I look at the math the tender specifies 2900 MU for the entire tender and given you participated with the capacity , it looks like you have minimum guaranteed

offtake of 2300 MU over till October but that will be based on crunch days every month. So I am just trying to understand the demand has been relati vely weak. If the NVVN tender, as per tender, NV VN would be bound to have a minimum offtake against every crunch day. And they can't make it up later on. So just wanted to know, is that the way it works? And basically, which means on every specified crunch day, they are taking the minimum guaranteed off take. That's what I am trying to understand.

Saurabh Mashruwala : So if you look at the demand scenario last one week was bad , otherwise it's basically the demand is there , last one week demand was weak .

Rishi Shah : So there is also some variability or some flexibility available for NVV N and for generators also. So it is not sacrosanct or casting stone that these days you have to pick up this much , these days you have to pick up this much. There is some flexibility under the tender which people will utilize.

Satyadeep Jain: But you have a minimum guaranteed offtake of 2300 MU if they don't take up in one particular month or quarter , then they have to make it up till October. Is the understanding fair?

Rishi Shah : This is for the 6 months period minimum guaranteed. If they don't do it , then typically they have to pay for the fixed charges for 20, for whatever MUs they have contracted for.

Saurabh Mashruwala: It's a monthly commitment. It's a basically commitment for 6 months.

Satyadeep Jain: If they don't offtake , they don't pick up 2300 MU , then they have to pay you a fixed charge which is mentioned in the tender ?

Saurabh Mashruwala : Absolutely.

Satyadeep Jain: For the amount they don't pick up. And the overall return, just wanted to understand how does it stack up against, I know the pricing seems somewhat lower compared to NVV N Intender last year. How does it, I mean if you have to look at profitability per unit, how does it stack up against Section -11 that you had or maybe the last tender, NVV N tender for last year?

Rishi Shah : No, I think profitability, if you look at it, this year also the profitability should more or less be similar to what we have seen last year under NVV N tender. I think Section -11 may not be a good comparison of NVV N tender. So ideally , we should compare it with the last year NVV N tender.

Satyadeep Jain : Isn't the pricing somewhat l ower compared to NVVN tender last year? You are saying per unit profitability would be similar for you versus last year NVV N tender ?

Rishi Shah : There would be slight impact , but not a major impact per se. Because there are other gains which you also make in terms of your cost of buying gas could be lower compared to what you are being paid for. So you make some money out of that also. Then there are operating expenses. So

if I put all together, I think profi tability from current year, NVVN tender should be more or less similar to what we have seen last year with a slightly downward bias.

Satyadeep Jain: Okay, just on this particular gas only given you had Section -11 last year , you have bigger period for minimum guaranteed offtake, and I mean demand has been volatile , but the offtaker is there and it's taking up power at these high prices. Generally are you sensing some interest on some medium term PPA given , I mean buyer is already buying this high gas prices , is there any interest at all from some parties for medium term PPA for gas or given the demand is so volatile and it's still expensi ve that you have not seen any interest at all?

Rishi Shah : I think right now we don't see any medium term or a long term contract being offered for gas simply because you cannot have control on the gas prices , so there is no pricing confirmation on the gas prices which means the offtaker would also be open for the variability. And since demand is also very, very variable, it's difficult to do a long term or a medium term contract right now.

Saurabh Mashruwala: So that is why, in fact, if you look at the, we have committed the higher capacity from the DG EN and SUGEN this year as compared to the last year. Last Year was 770 MW. We have just doubled it about 1, 300 MW. So we have tied up a larger capacity for the NVV N tenders this year.

Satyadeep Jain: That is understood , the capacity is higher and the contract period is also which is why the minimum guaranteed offtake quantity is much bigger. I mean I would believe it is 2300 NVVN . So last year I was just not able to understand, so I think that you clarified that if demand is not there , then if they don't pick up they have to pay that assured 6%. Thank you so much for the clarification.

Saurabh Mashruwala: That is contract, minimum guaranteed they have to honor basically so that is assured I would say.

Moderator: Thank you. Our next question comes from the line of Atul Tiwari f rom JP Morgan. Please go ahead.

Atul Tiwari: Yes, thanks a lot . Sir, just two questions. So what is the minimum guaranteed take or pay offtake for which the fixed charges you have to be paid under NVVN t ender?

Saurabh Mashruwala : That w e are not disclosing right now.

Atul Tiwari: Okay. And, and so my second question is on this pump storage project. So , I was just trying to understand it a little more clearly. So as per the agreement, the commissioning period is 48 months. So has that clock started or the start of that clock contingent on first approvals being available and land being acquired?
Saurabh Mashruwala : It has started from the date of PPA signing. It has started .

Atul Tiwari: Okay, so the clock has started but if the land is still under acquisition and in many infrastructure projects , we see land acquisition can get delayed a lot and obviously it is not under the control of a private company . So how does it work in reality? I mean if suppose land acquisition gets delayed by 2 years , then what is the remedy available to you under the PPA?
Saurabh Mashruwala : So early to comment the land acquisition because we are in process of doing it. So we don't foresee, I would say, this is a long period will happen in acquisition of land. So early to comment.
Atul Tiwari: Okay , but any idea about how long land acquisition will take place? I mean, is majority of land acquired 90% acquired or just 20% acquired? Where we are in that spectrum?
Rishi Shah : Atul, I think there are multiple stages in when you say land acquisition. So we have identified the land, there are discussions going on, there are certain things which have been done. Now it is not a binary event, it will be a stage by stage process. So we are fairly ahead in terms of final acquisition is concerned, but you can't say that entire thing is being done. And there are different types of land . I think we should be able to get the land in very short time. But as of now, if you want to say an an swer to it, I think we h ave not got the land as of now.
Atul Tiwari: Okay. And fair t

o assume that the financial closure will happen, obviously, only after land acquisition is done in the state, right? Is that a right understanding or you guys are hoping to do FC even before that?
Rishi Shah : Atul, these are all simultaneous process, land acquisition, scouting for various construction parties in terms of let's say turbine suppliers, civil suppliers, financial closure. These are all parallel activities which you do when you are getting, when you get a project or you win a bid. So financial closure has multiple, again multiple layers into it . There could be a sanction which can say that the disposal can happen if these CPs are finalized , the CPs are done, some part of disbursement can happen. So as far as all these different work streams are concerned, there are multiple layer s into it .
Atul Tiwari: Okay, got it. Thank you.
Moderator: Thank you . Our next question comes from the line of Bharani with Avendus Spark. Please go ahead.
Bharani : So I missed the first part of the opening remarks. Can you give me the merchant bid of in this quarter and for the full year FY' 25?
Saurabh Mashruwala: So merchant , it's a lower quantity about Rs. 8 8 crores merchant negative .
Bharani : So, no I didn't understand. So you telling it's Rs. 88 crores for the 4th year.
Saurabh Mashruwala: Q4 as compared to the last quarter, compared to the quarter of last year. It is lower by Rs. 88 crores.

Bharani : Last year number I have Rs. 85 crores , so it's basically nothing in this quarter or minus 3 ?
Saurabh Mashruwala: Yes.
Bharani : So for the full year , the merchant EBITDA will be around Rs. 750 crores, Rs. 740 crores, FY' 25?
Saurabh Mashruwala: Roughly that, yes.
Bharani : Clarity on NVVN tender. As per my under standing, this first quarter FY' 25, we benefited due to both NVVN and Section -11 opportunities. And what you are telling is now it is not Section -11, it's only NVVN tende r. Is that right understanding?
Saurabh Mashruwala: Yes, as of now, yes. As of now, yes.
Bharani : Sorry this year first quarter the spread that we earned was around Rs. 4 per unit. So you are telling that it might be roundabouts there with the lower buyer on the spread. Is that right understanding?
Saurabh Mashruwala: Unable to comment on this.
Bharani : Okay. Other question is like how is this N VVN tender different from last year like so is there a fixed revenue?
Saurabh Mashruwala: It is a similar line. So no t much difference, I would say.
Bharani : I mean, I'm not aware of how it was last year. Meaning is there a fixed tariff or is it like variable cost plus some margin?
Saurabh Mashruwala: You will get the fixed tariff as well as the tender plus you will get some differential amount because our variable cost is lower. So, we will get some margin for the variable cost also.

Bharani : Okay, okay and how much will that fixed charge be per unit?
Saurabh Mashruwala: We are not sharing that number.
Bharani : Yes, okay . That's it from my side. All the best.
Moderator: Thank you. Our next question comes from the line of Aniket Mittal from SB I Mutual Fund. Please go ahead.
Aniket Mittal: Yes, thank you for the opportunity. So in the presentation, I see an increase in the merchant capacity that you want to build out. It's almost doubling from about 200 to 400 MW. I just want to understand the thought process on that and what sort of realizations do you expect to see on this merchant plant?

Saurabh Mashruwala: So we see lots of potential . If you look at the market also, we see lots of potential for the merchant market . And we will tie up at some point of time those open capacity. Right now we plan to build some merchant capacity. And during the course of construction and going forward also, whenever the opportunity is availabl

e, w e will tie up those capacities.
Rishi Sha h: And Aniket, if you see the merchant capacity which has been added right now is wind capacity. So if you really look at it, the prices have gone down in solar hours. But if you really look at it in the non -solar hours, the prices have been fairly stable or on an upward sloping cur ve. So these are all wind capacities which we are putting up. And as Saurabh rightly mentioned, going forward, if opportunities are available, we may tie up these capacities also.
Aniket Mittal: In the medium term, did you plan to add more on merchant because you have been incrementally increasing our targets on that. Just from a portfolio level, is there like a percentage mix of merchant that you thinking?
Saurabh Mashruwala : Right now, this is what we are pla nning right now at this moment.
Aniket Mittal: Did the other part was just on pumped h ydro, wanted to understand a bit better, let's say from a CAPEX perspective. Internally, when do you think the CAPEX in the pumped hydro should start coming in and let's say internally, what are your CAPEX estimates specifically in the pumped hydro front for FY'26 and FY '27?
Saurabh Mashruwala: So some CAPEX will happen. We will start incurring CAPEX for the current year onwards from the land acquisitions and some initial payment for the equipment. But I would say major CAPEX will happen in the next 2 years, I would say.
Aniket Mittal: So post '26 i.e. in '27, '28?
Saurabh Mashruwala: '26-'27 and '27-'28.
Aniket Mittal: Okay . And just one clarification I had. So this Rs. 637 crores of one -off in the deferred tax has just bee n completely done in 4Q itself?
Saurabh Mashruwala: Yes, Q4 itself, yes.
Aniket Mittal: Thank you, those are my questions.
Moderator: Thank you. Our next question comes from the line of Anuj Upadhyay from Investec . Please go ahead.
Anuj Upadhyay: Hi, thanks for the opportunity. So what will be the CAPEX in the transmission segment for FY'26? Last year, it was 250, I guess. In the presentation, I see we are likely to commission two transmission projects amounting to roughly Rs. 1,200 plus odd crores in FY' 26. So could you give some kind of guidance on the CAPEX on the transmission side for FY'26?

Saurabh Mashruwala: From these two projects, we incur about Rs. 250 crores CAPEX in FY' 25 and remaining majorly CAPEX , I would say balance CAPEX will happen in the next current year, means '25-'26.
Anuj Upadhyay: So roughly Rs. 900 to Rs. 1000 crores would be in this year, right sir?
Saurabh Mashruwala: One can assume that number.
Anuj Upadhyay: Okay and we are not seeing any kind of a delay or evac uation related concern in this. It is pretty firm to get commission in the current itself.
Saurabh Mashruwala: Not material I would say.
Anuj Upadhyay: Okay, okay. Yes, that's it sir. Thanks for this.
Moderator: Thank you. Our next question comes from the line of Gaurav Birmiwal with Axis Mutual Fund. Please go ahead.
Gaurav Birmiwal: Hello sir, thanks for the opportunity. Sir, a lot of opportunities are opening up on the thermal side from the state side. Are we evaluating those opportunities as well? I mean, do we want to expand on the coal side or our focus is on PSP and renewables for now?
Saurabh Mashruwala: Yes, we are looking at both Brownfield as well as Greenfield also. So that is what we are evaluating. So we are not committed anything. We are evaluating it .
Gaurav Birmiwal: Understood, sir. Thank you.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Saurabh Mashruwala: Thank you everybody for joining Torrent Power's earnings call. We wish everybody to stay safe and healthy. Thank you so much.

Moderator: Thank you. On behalf of Torrent Power Limited, that c

oncludes this conference. Thank you for joining us, and you may now disconnect your lines.

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"Torrent Power Limited
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August 05, 202 5

MANAGEMENT : MR. SAURABH MASHRUWALA – EXECUTIVE DIRECTOR
AND CHIEF FINANCIAL OFFICER – TORRENT POWER
LIMITED
MR. RISHI SHAH – GENERAL MANAGER , FINANCE ,
TORRENT POWER LIMITED
MR. JAYPRAKASH KHANWANI – AGM (FINANCE),
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Moderator: Ladies and gentleman, good day and welcome to Torrent Power Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Saurabh Mashruwala, Executive Director and CFO.
Thank you, and over to you, sir.
Saurabh Mashruwala: Thank you so much. Good evening to all of you, and thank you for joining Torrent Power's Earnings Call for Q1 FY '26. First, I will take you through the performance of the quarter, after which phone lines will be open for question -and-answer session. We'll explain the performance of the company at PBT level. First, reported PBT for the quarter stood at INR985 crores as compared to INR1,315 crores in corresponding quarter last year, decrease by INR329 crores, a reduct ion of 25% on a repor ted basis.
PBT for the quarter includes non -recurring loss of INR59 crores on account of non -cash adjustment due to foreign exchange fluctuations. PBT for the corresponding quarter of last year includes non -recurring credit of INR102 crores on account of receipt of favourable tariff order of our license distribution area, which primarily includes carrying cost allowances.
Adjusted for about non -recurring items, the adjusted PBT for the quarter stood at INR1,044 crores as compared to INR1,213 crores in comparable quarter of last year, which is lower by about INR169 crores, a reduction of 14%.
Company's underlying business remained resilient. However, the company quarter was mainly impacted by lower merchant gain, partially offset by improvement in the other businesses on account of positive operational parameters. Company remains well -positione d to navigate cyclical variations supported by the diversified business operations.
The business -wise key factors contributing to the performance are as follows: There are four factors, which I will explain to you. First, reduction in gain from sale of merchant power as well as LNG of INR333 crores. Demand of the power remains subdued during the -- due to early onset of the monsoon. Further, LNG price remained elevated, impacting the sales of merchant gas with capacity of 1.5 GW .5GW . Overall PLF for the thermal generation deteriorated from 60% in Q1 of FY '25 to 39% in Q1 of FY '26 due t o lower long -term as well as merchant sales.
Second, improved contribution from distribution business by INR82 crores, mainly on account of two factors. First, improvement in operational parameters like lower distribution losses and higher collection efficiencies. Second, additionally, contribution from the license business was also supported by the increase in ROE as well as ROCE on account of capitalization of assets as well as higher rate of returns on equity as well as new tariff regulations.
Third, contribution from renewable business improved by INR31 crores on account of -- mainly

on account of interest income on delayed payment under LPS scheme, higher PLF, partially offset by lower contribution from the new solar project of 300 MW MW of TPLD as well as MSKVY. Fourth, lower interest expenses of INR47 crores on account of prepayment of debt

from the QIP proceeds -- due to QIP proceeds. This completes the explanation of the financial performance during the quarter.

Moving on, we'll now give a brief update on the pipeline projects. During the quarter, the company successfully secured a contract under SECI -XVIII, tying up 300 MW- merchant capacity at a competitive rate of INR3.97 per unit. With progressive commissioning of 36

7 MWp

367 MWp MSEDCL project , aggregate , aggregate installed generation capacity of the company stood at 4.9 GW GWas on 30th June '25, comprising of 2.7 GW GW of gas, 1.8 GW GWof renewable capacity, and 362 MW of coal -based capacity .

Pipeline project at the end of the quarter includes 3.1 GW GWof renewable projects, 3 GW GWof pumped storage projects, 2 transmission projects at Khavda as well as Solapur. Further details on the pipeline projects have been summarized on our latest investor presentation available on the website.

I would now request coordinator to open the line for Q&A session. We wish everybody to stay safe and healthy. Thank you so much. Handing over to the operator.

Moderator: The first question is from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: My first question is of course this quarter was impacted by the lower merchant prices and lower offtake for the gas -based power plant. But is it fair to say that we are guaranteed a certain amount of payment for that till October under the existing PPA, so the Q2 should be better compared to last year. Is that a fair assumption?

Saurabh Mashruwala: So see, the quarter has been impacted mainly by the merchant sales because of the early onset of monsoon as well as elevated gas price. So our NVVN tender, which is operational from 15th of March and will be continued till 15th of October. So it will be split into two quarters. So whatever supply has not happened under NVVN tender will going to happen -- going forward in Q2, possibly something may spill over the Q3 also.

Mohit Kumar: Understood, sir. My second question is on the RE portfolio. Is it possible to spell out the capex which you have done for the Q1?

Saurabh Mashruwala: Q1 capex is about INR350 crores.

Mohit Kumar: And how do you expect it to progress the balance year, sir?

Saurabh Mashruwala: Balance, there is a plan. We have a plan. So we have plan to have about 500 to 700 MW capacity coming in. So progressively, we'll incur the capex for the RE portfolio.

Mohit Kumar: Any broad number for fiscal year '26 and '27, sir? Is it possible to share?

Saurabh Mashruwala: Sorry?

Mohit Kumar: Is it possible to share the broad capex number for expected number for FY '26 and FY '27 for RE?

Rishi Shah : So for '26, it should be around INR7,000 crores to INR8,000 crores for this year and slightly higher number for next year.

Moderator: The next question is from the line of Satyadeep Jain from Ambit Capital.

Satyadeep Jain: First, on the merchant EBITDA for the quarter. I just wanted to understand the PLF was low, but under the NVVN tender, you have minimum guaranteed offtake. So was there some EBITDA contribution this quarter from take -or-pay where even if NVVN doesn't lift, you are guaranteed fixed cost on whatever is not lifted. So just wanted to unders tand, was there some contribution from there in this quarter?

Saurabh Mashruwala: The contribution from merchant is there definitely because of the NVVN, we have lifted some portion. But it will be -- whatever is a guaranteed thing is going to happen next quarter as well as something spillover will happen in the Q3 also. So minimum guar anteed quantity is going to happen.

Satyadeep Jain: Just trying to understand, there will be some guaranteed offtake every day. I think last time we were trying to understand, what I understood was if they don't lift the minimum guaranteed offtake, which would be 2,300 MU, you would -- they will not pay you the entire tariff, but you will be guaranteed at least a fixed cost. So just trying to understand this quarter.

Rishi Shah : So Satyadeep, I think what you're trying to understand is that this quarter, what was the minimum guaranteed offtake and correspondingly, what was the realization from that. So basically, this tender is for -- until October, right? So the gua

ranteed offtak e they have to take is till October.
Now it is not split into every day demand, every -- so if, let's say, on a particular day, if the demand is not there, they may not commission or they may not ask you to provide power. It can spill over to a different d ay.
So basically, what we are saying is that there was some offtake under the NVVN tender and the expectation is that minimum guaranteed offtake will be taken by NVVN going forward progressively. There could be -- there is a possibility that some guaranteed of ftake may also get spilled over from October to the next quarter also.
Satyadeep Jain: Because my understanding in the tender was there are specific crunch days 111. And during those crunch days, there is a minimum PLF of 50% during non -peak and 100% during peak. So accounting -wise, I thought whenever they're not meeting within this quarter also, you would have booked some fixed cost recovery, but that...
Rishi Shah : No, w e book based on the sales, which happens, right? And what you're saying should be true in case once the period expires and they have not offtake n the minimum guarantee d. Then we'll have to see whether we want to account that for not. But as of now, whatever we have booked is based on the offtake which they have done -- based on the actual offtake we have done. Not based on some estimated number, but based on the actual o fftake, we have booked the revenues and contributions.
Satyadeep Jain: Fair enough. Just one thing I noticed in the presentation, some merchant wind capacity you had. Is it -- seems like you've transitioned that into SECI XVIII. What is the rationale? Because earlier

you were thinking of keeping some merchant win ds in the portfolio. It seems to have been gone down. Is that true? And what is the rationale for that?
Saurabh Mashruwala: So we have two merchant projects, in fact, developing. So we got the SECI XVIII tender. So we have shifted the tariff was INR3.97, which is quite good, I would say. So we have shifted the merchant cap acity under SECI XVIII tender. So that is what -because tariff was good INR3.97 in the SECI XVIII tender. So better to switch over this merchant capacity to SECI and contract lock in at better tariff, and we will develop further merchant capacity going forward also.
Satyadeep Jain: Just one quick question, if I can squeeze another one. On the parallel licensing, I think there is some news report indicating some capex opportunity in Nagpur. I think there is some hearing. Just wanted to understand the steps in that process right now. And I think the news reports indicate maybe PAT losses for the first 4 years.
Just wanted to understand why -- is that -- I'm not sure if it was misquoted or something. Why - - if that is, why should there be PAT losses in the first 4 years? If you can you talk about this opportunity, the steps -- and I'm not sure whatever the media reports are. Just wanted to understand your thoughts there?
Saurabh Mashruwala: So we can't comment on the media report, but the fact of the matter is that today, in fact, today is the public hearing happened in Mumbai organized by the MERC . So that happened today.
Now we have reserved the orders now. So it will be probably going to be announced in a couple of days, I would say. And then we will come to know the exact status about the current licensing.
So public hearing took place today in M umbai.
Satyadeep Jain: So the results of the public hearing will be announced in 2 days. What are the steps after that?
Saurabh Mashruwala: A couple of days, not two days -- a couple of days. They will reserve the order whether to allocate -- to give the circle to the Torrent Power or not based on the public hearing.
Satyadeep Jain: Okay. So within a few -- within a couple of days or so, we should find out.
Saurabh Mashruwala: Yes, that is what we expect to MERC

. Maharastra State Regulatory Commission will announce
the result.
Satyadeep Jain: MERC . All the three, right? Pune, Nagpur -- all the three areas.
Saurabh Mashruwala: Yes, all the three areas.
Moderator: The next question is from the line of Sumit Kishore from Axis Capital.
Sumit Kishore: Could you give us a sense of what is the total sale of merchant units in Q1? And what was your merchant contribution from gas -based power plants in the first quarter of the year? Our sense last year was that in Q1 last year, you had realized almost INR6 billion of merchant gains.
Saurabh Mashruwala: So it was a merchant sale of about 714 MUs this quarter.
Sumit Kishore: 714.

Saurabh Mashruwala: 714 MUs, including the NVVN tender also. Contribution was about INR327 crores.
Sumit Kishore: Got it. This is very clear. The second question is, I think you mentioned to a previous participant that Q1 capex was INR3.5 billion only. I thought that you are...
Saurabh Mashruwala: INR350 crores for the renewable only. Overall capex is about INR850 crores, but the renewable is INR350 crores.
Rishi Shah : So total company level capex was INR850 crores, out of which renewable was INR350 crores.
Sumit Kishore: Okay. Just to understand, given the numbers that we are looking at on an annual basis are north of INR70 billion, INR80 billion. So is there any reason why Q1 capex in renewable is so low? Or how should we read this sort of number seems quite low.
Saurabh Mashruwala: Yes, it will be ramp up in the Q2 -- H2, I would say, significantly as compared with H1.
Sumit Kishore: Okay. And in addition to the 2 GW Maharashtra PSP, now the total PSP that you're showing is 3 GW. So...
Saurabh Mashruwala: 2 GW is tied up with MSE DCL and 1 GW we are planning on a merchant basis, which will be tied up at some point of time. And as of now, we are developing 3 GW capacity, PSP capacity .
Sumit Kishore: Okay. So that 1 GW merchant is at the same location?
Saurabh Mashruwala: Yes, same location because location is a 3 GW capacity, out of which 2 GW we have tied up the MSEDCL.
Moderator: The next question is from the line of Suyash Jain from NDTV Profit. As there is no response from the participant, we will move to the next one. The next participant is Chetan Jain from Avendus Spark.
Chetan Jain : Sir, just a follow -up on the previous question. You said your EBITDA contribution from merchant was around INR327 crores. Does this include the LNG sale also?
Saurabh Mashruwala: LNG sales.
Rishi Shah : So basically, when we say merchant, it includes LNG and MU sales also, both.
Chetan Jain : Okay. Sir, any number -- what is the comparable number for the same for the previous quarter -- previous year?
Saurabh Mashruwala: It's basically -- we don't give the breakup, it's interchangeable between -- depending upon the opportunities available.
Chetan Jain : Just the comparable number for first quarter FY '25 for the same INR327 crores.
Saurabh Mashruwala: Yes. We have said INR660 crores for the last year number.

Chetan Jain : INR660 crores, okay. Sir, my next question is on what would be your average realization for this quarter, sir, realization and EBITDA for this quarter, average realization for 700 MUs which we sold?
Saurabh Mashruwala: So we have 714 MUs we have sold in the merchant market and contribution of INR327 crores.
Rishi Shah : Around INR4.50.
Chetan Jain : INR4.50. Okay, sir. So just last question is on -- we read a news report or media report on a company interested look at L&T's power asset. Any comments on that, sir?
Saurabh Mashruwala: No, we don't want to give comment on this. We don't want to give any comments on this at this moment.
Chetan Jain : But are we looking at thermal assets? Are we always looking at thermal assets on

a regular entity
basis?
Saurabh Mashruwala: It's a part of our strategy, yes, we look at the thermal coal asset also, developing coal asset or participating in the IBC process also that -- it's a continuous exercise. We think we most of the acquisitions in the renewable side also in the coal side also.
Moderator: The next question is from the line of Bharani V. from Avendus Spark.
Bharani V. Yes. So can you give an update on the UP DISCOM privatization and where is the process at? When do we expect the bids to be opened?
Saurabh Mashruwala: It's too early because government is working at the RFP. So that is what currently theyare working. So it's -- that is what the stage is currently. But we are definitely interested in participating in the tenders as and when it comes. But currently, the proposal is under finalization by the UP government.
Bharani V. Okay. Okay. And my second question is on DGEN. Like if I look at the 1Q FY '26 PLF reported, which is 21%, translates to around 2,300 million units of generation. So just trying to understand if we have sold about 714 million in merchant, what are the othe r units being sold, where is it sold to? Is it being sold to the distribution circle in Ahmedabad, Surat?
Jayprakash Khanwani : So I think you are considering th is MUs on an annual basis. Divid e it by 4 quarters .
Saurabh Mashruwala: I think you were looking at annual MUs, not the quarterly MUs.
Bharani V. Okay. Sorry, yes. That's a mistake. Yes, you're right. Like I was calculating on other plant. Got it. And finally, on the fact that how much would be the amount of units we are expecting to sell

from or to put it another way in merchant market in the secon d quarter?
Rishi Shah : I think we are not giving any estimates. As you rightly know that merchant market is pretty unpredictable. And on top of it, LNG prices are also very volatile. So it is very difficult for us to give you any estimates.

Moderator: The next question is from the line of Nikhil Abhyankar from UTI Mutual Fund.
Nikhil Abhyankar: So just one question, clarity on the NVVN tender. So is it fair to assume that the fixed cost related to the NVVN tender relating to 2.3 billion units of minimum offtake will be fully -- will get fully booked by end of Q3?
Saurabh Mashruwala: So contract is currently running up to 15th of October. But depending upon the demand from their side, it's not fully utilized by that date, government may extend some portion. But we can safely assume that by Q3, it should get fully utilized.
Nikhil Abhyankar: Okay. Fully utilized. Okay. And if it doesn't get utilized, we'll be...
Saurabh Mashruwala: Will get the minimum offtake fixed cost.
Moderator: Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to Mr. Saurabh Mashruwala for closing comments.
Saurabh Mashruwala: Thank you, everybody, for joining Torrent Power 's Earning Call. Thank you very much. We wish everybody to stay safe and healthy. Thank you so much. Thank you.
Moderator: Thank you. On behalf of Torrent Power Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

“Torrent Power Limited 2 Q and FY'26 Earnings
Conference Call”

November 11, 2025

MANAGEMENT : MR. SAURABH MASHRUWALA – EXECUTIVE DIRECTOR
& CFO , TORRENT POWER LIMITED
MR. RISHI SHAH – GENERAL MANAGER , TORRENT
POWER LIMITED
MR. JAYPRAKASH KHANWANI – ASSISTANT GENERAL
MANAGER , TORRENT POWER LIMITED

Moderator : Ladies and gentlemen, good day and welcome t o the Torrent Power Limited 2Q FY' 26 Earnings Conference Call .

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I now hand the conference over to Mr. Saurabh Mashruwala – Executive Director and CFO. Thank you and over to you, sir.

Saurabh Mashruwala: Thank you, sir. Thank you. Good evening to all of you and thank you for joining Torrent Power's earnings call for Q2 FY'26. First, I will take you through the performance of the quarter, after which phone lines will be open for Q&A session. We will explain the performance of the company at PBT level first and then we will take you through the tax expenses separately.

Reported PBT for the quarter stood at INR 979 crores as compared to INR 689 crores in the corresponding quarter of last year, which is an increase of about INR 290 crores, which is about 42% on reported basis . PBT for the current quarter includes non -recurring credit of INR 31 crores on account of receipt of favorable orders in licen se distribution business, which mainly includes the carrying cost allowances. PBT for the corresponding quarter of last year includes non-recurring credit of about INR 67 crores on account of two factors. First, accounting of INR 99 crores on receipt of favorable orders in our licen se distribution area, which mainly includes the carrying cost allowances partly offset by lower generations of the wind power plant on account of forced stoppage of wind turbines due to heavy rains and Asana cyclone witnessed in Gujarat in the quarter, leading to a reduced contribution of INR 32 crores. Adjusted for these one-off items, PBT for the quarter stood at INR 948 crores as compared to INR 622 crores in the corresponding quarter of last year, an increase of about INR 326 crores, which is about 52%.

Business -wise factors contribut ed to the performance are as follows :

1) Contribution from thermal generation business increased by about INR 293 crores mainly on account of better contribution from the sale of merchant power as well as LNG by about INR 304 crores.

2) Merchant gains were partially offset by the higher O&M expenses as well as non-cash adjustment on account of foreign exchange variation of about INR 11 crores. Contribution under the distribution business adjusted for one -off items increased by about INR 11 crores, mainly on account of, first, improvement in T&D losses of distribution franchise units, partially offset by higher T&D in the license distribution area. Second, additionally, contribution from the license

distribution business was supported by increase in ROE and ROCE on account of capitalization
of assets and higher rate of return on equity as per the new tariff regulations. And third, demand
growth in our distribution business were in the range of about 4 %-5%.

3). The third item is contribution from renewable generation adjusted for one -off items reduced
by INR 20 crores, mainly on account of lower PLF from the existing wind power plant due to
lower wind resource s partially offset by the contribution made by newly commissioned solar
capacity of 381 MWp. Balance deviation of INR 43 crores is mainly on account of, first,
reduction in finance costs on back of repayment made in Q4 FY '25 partially offset by increase
in depreciation and other miscellaneous expenses. This completes the explanation of the
financial performance during the quarter.
Moving on to the project update :
1. During the quarter, in addition to our existing r

enewable pipeline, subsidiary of the
company received LOA of 250 MW of FDRE Renewable Generation from our
licensed distribution unit.
2. The company secured letter of award from MP Power Management Company Limited
for long -term supply of power from new 1.6-gigawatt coal-based power plant at a tariff
of INR 5.83 per kWh.
3. India's largest green hydrogen natural gas blending initiative within the city gas
distribution sector was successfully commissioned during the quarter.
4. With progressive commission of 367 MW p MSEDCL project, aggregate installed
generation capacity of the company stood at about close to 5 gigawatt as on 30th
September 2025, comprising of 2.7 gigawatt gas-based capacity to about 1.9 gigawatt
renewable capacity and 362 MW coal -based capacity.
5. Pipeline project as at the end of the quarter includes 3.6 gigawatt renewable capacity,
3 gigawatt pump storage capacity, 1.6 gigawatt of coal plant and 2 transmission
projects at K havda and Solapur. Further details of the pipeline project have been
summarized in our latest investor presentation available on our websi te. That's all for
the quarter.
Now , I would request the coordinator to open the line for Q&A session. We wish everybody to
stay safe and healthy. Thank you so much. Handing over to the operator s.
Moderator : Thank you very much. We will now begin with the question -and-answer session. Our first
question comes from the line of Mohit Kumar from ICICI Securities. Please go ahead.
Mohit Kumar: Good evening, sir, and thanks for the opportunity. My first question is, of course, this quarter
we have shown a robust performance. I think a part of it comes from the merchant sales under
the short -term power purchase agreement, which is signed in the mo nth of March. Are we still
selling in the third quarter some part of it under this agreement or this agreement is over now?
Saurabh Mashruwala: We have supplied a majority of the portion in the Q2. We can say the majority portion is supplied
under the contract in the Q2.
Mohit Kumar: Understood. So there is hardly anything left for Q3, right?

Saurabh Mashruwala: Yes, maybe some port ion, not material, I would say.
Mohit Kumar: Understood. Is it possible to provide us the break -up between merchant sales and LNG sales
during the quarter, some broad indication?
Saurabh Mashruwala: LNG sales, not material, I would say. Most of the revenue comes from the contribution coming
from the merchant sales.
Mohit Kumar: Understood, sir. My last question is on this coal-based power plant, which you have won in this
quarter. The capital cost seems to be on the higher side. Is it the maximum thing or do you think
you will be able to do it at a much lower cost, maybe closer to 11 -12 crore per megawatt rather
than 13 crore per megawatt? Is it a possibility? And the related question is, what is the fixed
cost, fixed tariff, whic h you have bid for this particular power plant? Is it possible to give a
break -up between the variable and fixed cost quoted in the bid?
Saurabh Mashruwala: So, no. This kind of a rate is going on, in fact. Now, cost of equipment has gone up, basically.
So, this is what the cost we have budgeted as of now. So, basically, this kind of a cost is going
on. And in terms of your second question of the variable cost and fixed cost, fixed cost is about
INR 4.22 paisa and variable cost is pass -through. That is what the configuration of the PPA, I
would say , LOA.
Mohit Kumar: Understood, sir. Thank you. Best of luck.
Moderator: Thank you. Our next question comes from the line of Sumit Kishore from Axis Capital. Please

go ahead.

Sumit Kishore: Thanks for the opportunity. You mentioned that you have taken a 500 megawatt FDRE project from TPLD . What are the terms of this? How much is solar, wind? Are there any other specif ications that you can just go

through us?

Saurabh Mashruwala: So, it is a combination of solar, wind and the battery. So, about solar will be about 350, wind will be about 150 meg awatt and tariff is about 4.87.

Sumit Kishore: Wind is 150 ?

Saurabh Mashruwala: Yes, sorry.

Sumit Kishore: Wind is 150 , you said?

Saurabh Mashruwala: Yes. Wind is 150, solar is about 350 megawatt.

Sumit Kishore: And how much battery?

Saurabh Mashruwala: Battery would be another 100 megawatt kind of a battery would be there.

Sumit Kishore: 100 m egawatt with 4 hour storage or?

Saurabh Mashruwala: So, it is 450 megawatt hour.

Sumit Kishore: So 4.5 hour storage.

Saurabh Mashruwala: Yes. So, 112 megawatts of battery which is equivalent to 450 megawatt hours.

Sumit Kishore: Okay, 4 hours. Okay, got it. My second question is your presentation mentioned that BTG has been awarded for the coal plant. Who it has been awarded to and at what project, at what value?

Saurabh Mashruwala: We will not able to share it but it is a project, it is a turbine contract is awarded.

Sumit Kishore: So TG is awarded, boiler is not yet awarded.

Saurabh Mashruwala: No, BTG entire thing is awarded.

Management: BTG and balance of plant is in the discussion, BTG is awarded.

Sumit Kishore: So, is it awarded to one of the two domestic players?

Saurabh Mashruwala: Yes, one of the two domestic players, you can say.

Sumit Kishore: Okay. The next question is, what is the CAPEX in first half of the fiscal? And you had mentioned last time that significant portion of the CAPEX that you plan to incur for RE, almost INR 8000 crores will be incurred in this year. So, what is the progress on RE CAPEX specifically?

Saurabh Mashruwala: So, H1 number ,, in license, we have incurred about close to INR 780 crores, franchisee around INR 100 crores kind of a thing. Transmission, we have incurred about INR 275 crores and RE, renewable CAPEX, will be of INR 2500 crores we have incurred in the H1.

Sumit Kishore: INR 2500 crores you have incurred in H1, RE?

Saurabh Mashruwala: Yes.

Sumit Kishore: What is the overall H1 CAPEX that you have incurred, consolidated level?

Saurabh Mashruwala: Close to INR 2700 crores. INR 3700 crores.

Sumit Kishore: Okay, so 3700 total, 2500 is RE, got it.

Saurabh Mashruwala: RE, yes, exactly.

Sumit Kishore: And finally, in your opening remarks, you mentioned this, I am not sure whether I got the number, the total increase in merchant contribution for thermal was INR 324 crores you said?

Saurabh Mashruwala: INR 300 crores roughly.

Sumit Kishore: INR 300 crores. This is the delta on a year -on-year basis?

Saurabh Mashruwala: Yes, delta on a year -on-year basis, compared to the last quarter.

Sumit Kishore: Okay, and so what is the total number of merchant units you sold during the quarter?

Saurabh Mashruwala: About 650 MUs.

Sumit Kishore: Okay, thank you, sir, and wish you all the best.

Moderator: Thank you. Our next question comes from the line of Satyadeep Jain from Ambit Capital, please go ahead.

Satyadeep Jain: Hi, thank you. First question on the NVV N tender, now that the tender is over, is it possible to share how much volume was lifted on the tender and whatever was not lifted, do you get the entire fixed cost recovery in 3Q for that or have you already booked some fixed cost recovery in 2Q?

Saurabh Mashruwala: So, we have stated that we have materially supplied basically, so that is what we stated earlier in the first question.

Satyadeep Jain: Sorry, sir, I did not get it, whatever.

Saurabh Mashruwala: We have stated in the earlier answer, first question that we have materially supplied under that contract.

Satyadeep Jain: No, that I understood. So, you fulfilled the entire, there was no volume which was assured under the minimum contract and not

lifted by the consumer. I thought the actual offtake was lower
than the minimum offtake, right, which is why you have some fixed cost guarant ee that you
recover in case the customer does not lift the entire volume.
Saurabh Mashruwala: So, majority contract is fulfilled, that is what we can say right now.
Satyadeep Jain: So, there is no material fixed cost recovery that you anticipated in 3Q from this contract, right?
Saurabh Mashruwala: Yes.
Satyadeep Jain: And secondly, wanted to check on the PSP project, the CAPEX there also seems slightly on the
higher side, 7 crore per megawatt. When you look at INR 14,000 crore CAPEX in the revenue
under the contract is 1680, thus what kind of IRR would you look at on this kind of project?
Saurabh Mashruwala: How can you say that the cost is higher? How much megawatt you are considering?

Satyadeep Jain: The 2,000 megawatts, 14,000 crores, that is about 7 crores per megawatt.
Saurabh Mashruwala: INR 14,000 crores is the total project cost and capacity , we are putting up is a 3 gigawatt
capacity. And 2,000 gigawatts, 2 gigawatts is a PPA we have signed off, but capacity we are
putting up is 3 gigawatts and project cost is INR 14,000 crores.
Satyadeep Jain: 14,000 is for 3 gigawatts?
Saurabh Mashruwala: Yes, exactly.
Satyadeep Jain: Okay. And lastly, on the wind and solar PLF, can you, I didn't fully understand because
everybody, including in Gujar at, we are seeing higher wind PL F this quar ter, YOY and then
lower solar PL F. What was unusual for you in Gujarat? Just trying to understand, was it
something location specific?
Saurabh Mashruwala: So I think because of the extended monsoon, PLF is a bit lower as far as wind is concerned. And
solar because of the new capacity commission, PLF is a bit higher as compared to the quarter of
last year.
Satyadeep Jain: So wind was only monsoon that impacted maybe certain windmills in Gujarat for you and solar
was just maybe new mills and new plants.
Saurabh Mashruwala: Yes, exactly . We saw the extended the monsoon in Gujarat it lasted till, of course, Diwali also,
I would say. So that is why that has impacted the wind resources, I would say.
Satyadeep Jain: Okay, thank you.
Moderator: Thank you. Our next question comes from the line of Atul Tiwari from JP Morgan. Please go
ahead.
Atul Tiwari: Yes, so just one sma ll question. So now that the NVV N tender is over, fair to assume that in
third quarter and at least early part of fourth quarter, there will be no merchant sale or you are
actually selling something in the merchant market?
Saurabh Mashruwala: It all depends on the market situation. If peak demand will be there, definitely there will be a
merchant sale. So we cannot say right now, but it all depends on the market d ynamics, I would
say and if you notice that the LNG price is coming down. So the peak demand kind of a thing,
so one or two or three of the peak demand in the next six months, I would say.
Atul Tiwari: What will be the landed cost of LNG for producing the power for you right now?
Saurabh Mashruwala: The $10, if you assume that the $10 is per M MBtu of cost, then my v ariable cost would be about
fixed kind of a thing variable cost.
Atul Tiwari: Okay. So in case merchant ties are more than that, then it makes sense. Okay.

Moderator: Thank you. Our next question comes from the line of Ketan Jain from Avendus Sp ark. Please
go ahead.
Ketan Jain: Thank you. Good evening, sir. So my first question is on the MP Power project. What is the
expected commissioning date for this thermal plant?
Saurabh Mashruwala: The first unit is about 66 months from PPA date, and second unit is 72 months from the PPA
date.
Ketan Jain: So that will be almost six years.
Saurabh Mashruwala: Yes, six years from. Yes, PPA is

not yet signed in fact. PPA is expected to sign in next 2 months '
time. And from t here, this timeline will start.
Ketan Jain: Six months. Okay. My second question is on the renewable capacity addition. What are you
targeting for second half in FY '26 and then in FY '27 progressively? What is the renewable
capacity addition expected?
Saurabh Mashruwala: So about the total capacity which we have envisaged in the full year is about 500 to 600 megawatt
for the current year. So out of which , about 367 megawatt is already commissioned. So balance
we expect to commission in the second half. And most of the capacity from the upcoming project
except the newly won project is going to commission next year. Next one and a half years, I
would say.

Ketan Jain: Okay, so all the balance portfolio capacity to come in FY '27 and first half of FY '28.
Saurabh Mashruwala: Yes, yes. One and a half to two years maximum, I would say.
Ketan Jain: Understood. Any target you have for FY27, sir?
Saurabh Mashruwala: Not r eally, but we will try to expedite the commissioning. So commissioning date in fact is given in the presentation also.
Ketan Jain: Understood. Okay, sir. Thank you. Those are my questions.
Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. Saurabh Mashruwala for closing comments.
Saurabh Mashruwala: Thank you so much for joining Torrent Power's earnings call. We wish everybody to stay safe and healthy. Thank you so much.
Moderator: Thank you. On behalf of Torrent Power Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

"Torrent Power Limited
Q3 FY '26 Earnings Conference Call "
February 10, 202 6

MANAGEMENT : MR. SAURABH MASHRUWALA – EXECUTIVE DIRECTOR
& CFO , TORRENT POWER LIMITED
MR. RISHI SHAH – GENERAL MANAGER , TORRENT
POWER LIMITED
MR. JAYPRAKASH KHANWANI – ASSISTANT GENERAL
MANAGER , TORRENT POWER LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Torrent Power Limited Q3 and FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Saurabh Mashruwala, Executive Director and CFO from Torrent Power Limited. Thank you, and over to you, sir.

Saurabh Mashruwala: Thank you. Good evening to all of you, and thank you for joining earnings call of Torrent Power for Q3 FY '26. First, I will take you through the performance of the quarter, after which phone lines will be open for the Q&A session. Will explain the performance of the company at PBT levels first, then will take you through the tax expenses separately.

Reported PBT for the quarter stood at INR805 crores as compared to INR630 crores the corresponding quarter of last year, an increase of INR175 crores, that is approx.. 28% of reported basis. PBT for the corresponding quarter of the last include nonrecurring income of INR77 crores on account of sale of cable business.

Adjusted for this one -off, PBT for the quarter stood at INR805 crores as compared to INR553 crores in the comparable quarter of last year, an increase of INR252 crores, 46% on an adjusted basis. Tax expenses were lower during the quarter as favorable regulatory orders received during the quarter are eligible for the tax exemption.

Business -wise factors contributing to the performance of the quarter are as follows . First, contribution from thermal generation business reported an increase of INR163 crores, mainly on account of 3 factors. First, receipt of favorable orders from the regulators. Second, there were contribution from sale of Merchant Power and LNG by INR75 crores. And foreign curr ency fluctuation other expenses resulting into the higher expenses to the extent of INR35 crores.

Second, contribution from the distribution business increased by INR106 crores, mainly on account of 3 factors. First, improvement in T&D losses at distribution franchise units, partially offset by the higher T&D losses in the licensed distribution busines s. Second, additional ly, contribution from license d distribution business was supported by the increase in ROE and ROCE on account of capitalization of the assets and higher rate of returns on equity as per the new tariff regulations and other incentives. Third, receipt of favorable orders from the regulator by INR41 crores.

For business contribution from renewable generation increased by INR24 crores, mainly on account of higher PLF from the existing wind power projects due to better wind resources, coupled with the contribution made by the newly commissioned solar capacity o f 285 megawatts. Fourth , other factors contributed lower profitability was on account of 2 factors. First, increase in miscellaneous expenses and depreciation, partially offset by reduction in finance costs on the back of pre-repayment made in Q4 of FY '2 5. This completes the explanation of the financial performance during the quarter.

Moving onto the projects update. First, during the quarter, RE pipeline increased by 500 megawatt. For 1.6 gigawatt thermal project power purchase agreement -- power supply agreement has been executed with the MP Power Management Company Limited. Contract for balance of plant & machinery has been awarded for the projects.

With the progressive commissioning of 360 -megawatt MSEDCL project, aggregate installed generation capacity of the company stood at 5 gigawatt as on December 31, '25, com

prising of

2.7 gigawatt gas -based project, close to 2 gigawatt of renewable capacity an d 362 megawatt of coal-based capacity. Pipeline projects are at the end of the quarters includes 4 gigawatt renewable capacity, 3 gigawatt of pump storage capacity, 1.6 coal -based capacity and 2 transmission projects at Khavda and Solapur.

Further details on the pipeline projects have been summarized in our latest investor presentation available on the website. That's all for the company's quarter. Now I request coordinator to open the Q&A session. We wish everybody to stay safe and healthy. Thank you. Handing over to the operator.

Moderator: Thank you so much, sir. Ladies and gentlemen, we'll begin with the question -and-answer session. Our first question comes from the line of Sucrit D Patil from Eyesight Fintrade Private Limited.

Sucrit D Patil : I have 2 questions. My first question to Mr. Saurabh is, Torrent Power has expanded across the generation, distribution and renewables. Growth often brings some pressure on cost and cash flow. Going forward, how will you balance investing in new renewable projects with keeping debt and margins under control? What clear signals will tell you it's time to slow expansion and focus more on the financial discipline. I want to understand your point of view on this.

Saurabh Mashruwala: Yes. In terms of financial discipline, if you look at our leverage ratio, we are quite comfortable. For example, our net debt -to-equity ratio is 0.40 as on March '25 and net debt to EBITDA is 1.41. So company is under leverage company right now. And with t his investment, we are -- our leverage ratio will remain comfortable, I would say, in terms of our current investment plan. So we are maintaining financial discipline and improving our return on equity and ROCE going forward once we implement all these pro jects in pipeline right now.

Sucrit D Patil : My second question to Mr. Shah is, again, along the similar lines, I just want to understand your plan of action basically in this. Fuel costs and regulatory changes can impact -- can have some impact on the profits, I believe. What financial disciplines d o you use to protect the returns? Like, for example, do you have a minimum margin requirement, a debt ratio that you won't cross or cash cycle targets in mind? How do you -- how do these rules shape your investment and decision -making proce ss? I want to understand that.

Saurabh Mashruwala: Generally, the new projects being financed at 70 -30 or maybe 75 -25 debt equity ratio. So that is what typically we do the financing. In terms of -- if you look at the sector per se, there are lots of investment opportunity going up because of going up by the sectors. And yes, we do have investment plan, but we are mindful of our financial metrics, I would say, in terms of debt equity ratio and net debt to EBITDA ratio. And which is very comfortable and we will -- if you look at

the peers also going aggressively. So definitely, our ratios will be the lower as the peers and we'll be comfortable with those kind of ratios, leverage ratios.

Moderator: Our next question comes from the line of Sumit Kishore from Axis Capital.

Sumit Kishore: First, I think it's been a fairly strong P&L performance in the quarter. I just want to understand a few numbers here. You mentioned that there is increased contribution from gas -based power plants because of some regulatory benefit as well as a higher mer chant and LNG sale contribution in the quarter. So what is the size of the regulatory benefit? And we hadn't seen much merchant generation in Q3 based on the PLF numbers. So is that INR75 crore s number that you mentioned mainly coming from L NG gains. That's the first question.

Saurabh Mashruwala: So the contribution from the merchant is lower in this quarter. It's not higher, I would say. That is what we would li

ke to clarify. So it's lower basically by INR75 crores as compared with the
comparable quarter of last year. We got some favorable orders from the regulator, which has, I would say, added the bottom line of the company by about close to about INR270 crores.
Sumit Kishore: Okay. So that basically explains the extent of positive surprise, INR270 crores.
Saurabh Mashruwala: Yes.
Sumit Kishore: Why -- what was the regulatory item about?
Saurabh Mashruwala: It is one of the generation projects.
Sumit Kishore: Which one SUGEN, UNOSUGEN, DGEN is not -- I mean...
Saurabh Mashruwala: It's a gas -based generation project. We've got it...
Sumit Kishore: Which gas -based generation project , SUGEN OR UNOSUGEN?
Saurabh Mashruwala: UNOSUGEN project.
Sumit Kishore: And why did this regulatory benefit crop up? What is the background? This is explaining the entire profit beat in the quarter.
Saurabh Mashruwala: We'll explain after the call. We will explain it.
Sumit Kishore: Okay. The second question is related to capex . So basically, in renewable, so far this financial year, in 9 -month period, what is the capex that you have incurred? And what is your CWIP in renewable as of December end? And has there been any pickup in pace of capex in renewable in third quarter?
Saurabh Mashruwala: Yes, there has been pickup in the capex also in the third quarter because we have to implement many projects together. So there has been pickup in the capex in last 1 or 2 quarters. And this pace will continue going forward also because we have pipeline of renewable projects and there's a renewable project, pump project and coal project is going to be implemented. So there is a pickup in capex also.

Management: So Sumit, just to add, Q3 renewable projects, we had incurred capex of INR1,750 crores. If I look at the YTD number, it was around INR3,100 crores. So you can understand the increase in the renewal projects capex . So INR3,100 crores YTD, which means 6 months, we would be around INR1,500 crores of capex . In this quarter itself, we have done INR1,700 crores of capex .
Sumit Kishore: Excellent. That is what I was looking for, yes. Perfect. So there is a pickup in capex . And given the transmission constraints and everything else put together of the 4.3 gigawatt odd RE pipeline under construction, what should be the phaseout in terms of commissioning, say, fourth quarter and next financial year and the year after that? I mean if you can give us a broad sense that will be useful.
Saurabh Mashruwala: So we can give a sense of about -- for the next year, we expect to commission about 1.2 to 1.5 gigawatt next year. I think in a similar pace, we can expect in next year also the year thereafter also.
Sumit Kishore: Okay. So this financial year FY '26 will be a fairly weak year in terms of renewable capacity addition relatively?
Saurabh Mashruwala: Yes.
Sumit Kishore: Yes. Okay. Okay. And just one more question. Power demand growth in the last 15 days has been quite bad. I mean after 22nd of January, it's once again become flattish kind of power demand growth for almost 15 -plus days that we last checked. I mean, is that something you all have been noticing is there any specific reason? And is there any probability of Section 11 getting implemented as we enter into a higher demand period this year as well? I mean what is your sense?
Saurabh Mashruwala: So one can say that it's an exception kind of a thing, aberration kind of thing, I would say, because if GDP has to grow at 6.5% to 7%, power demand has to grow in a similar line. Otherwise, GDP won't be growing at that particular rate. Two things basicall y, one is last year, the demand was very, very strong. The base was very strong last year.
And the second is the extended monsoon in the current year has impacted the power demand. But this cannot the scenario every

year, I would say. So it has to grow in line with the GDP
growth, I would say. That is what we can say. So once you ignore the curr ent year, one should see it as an aberration kind of things. And one should not look at the current demand scenario, I would say.
Sumit Kishore: Completely agree. Again, it started happening last 15 days, power demand growth is not there. I hope this does not continue.
Moderator: Our next question comes from the line of Satyadeep Jain from Ambit Capital.
Satyadeep Jain: Just first, I wanted to understand DISCOM performance a little bit. First on the sale of units within DISCOM. So overall, we understand power demand will relatively flattish Y -o-Y in the quarter. When I look at Ahmedabad, Surat and all, most regions you're witnessing decline. Is

that -- what is, in your view, driving that decline? Is it behind the meter? Is there something else that's driving this decline Y -o-Y?
And then maybe can you talk a little bit more about the ROE increase that you've seen historically, if I'm not mistaken, it was 14% saying that this year, there is an increase in ROE for DISCOM that in addition to some one -off of INR41 crores has driven this almost 20% Y -o-Y increase in EBITDA in DISCOM despite a decrease in the purchase of units. Can you explain this power with DISCOM performance?
Saurabh Mashruwala: In terms of demand, yes, definitely demand is lower this quarter. But as I explained earlier in the call that it's an aberration kind of a thing because of the extended monsoon last year, base was very high. So both the combined impact one can see in the d emand. But this is treated as aberration because GDP and the power demand has to go in line and hand -in-hand with the in line with the GDP. So it has to be there, demand will definitely come and at least 5%, 6% demand when one can see n ext year. In terms of...
Satyadeep Jain: I was trying to understand the Torrent Ahmedabad, Surat, we understand the power demand has been muted, but Gujarat has still reported positive Y -o-Y demand growth in third quarter. So what is driving this decline in specific pockets? Is it more residentia l rooftop or something? Just trying to understand Y -o-Y decline in certain of your...
Saurabh Mashruwala: Satyadeep, if you really look at it, dissect it, Ahmedabad is more of residential, less of commercial because of extended monsoons and winters also pretty good. Typically, this quarter, demand goes down. And this year, particularly because of good winter d emand in Ahmedabad has gone down. If you look at Surat. Surat is more of an industrial area. But again, that has been impacted because of the diamond industry, not being in shape. Textiles also not being going good because of which Sura t also has been impacted.
If you look at D&H, it has shown some growth. But again, because of the industrial activity, it has not shown the growth which it used to report around 3% to 4%. So I think there are mixed factors involved in each area, you'll have to look at from how the mix is there between industrial, commercial and residential.
Satyadeep Jain: Okay. And in terms of increase in regulated return and one -offs, can you maybe...
Saurabh Mashruwala: Just going back to your earlier question, you said that demand has gone down, but your ROEs have increased. So first of all, I just want to clarify that our profitability is not actually dependent on the unit growth for license distribution businesses. It is more dependent on the capitalization, which we do as we get ROEs.
So there is no correlation between the demand and our return -- profitability, I would say. And second thing, regarding the carrying cost order, if you look at our regulatory asset, yes, on regulatory asset we do earn some carrying costs, but we account fo r the carrying cost, when it is approved by the regulators. So this kind of or

der we keep on coming, I would say. That is what we can say right now.

Moderator: Sir, participant has left the queue. Our next question comes from the line of Dhruv Muchhal from HDFC AMC.
Dhruv Muchhal: Sir, most of my questions are asked by Sumit and Satya, but just probably some follow -ups. Sir, in the opening remarks, you mentioned distribution profitability has also improved because of higher capitalization and higher ROE. So is there some change in R OE rates in any of these circles?
Saurabh Mashruwala: Yes, it's 14% to 15.5%, 15% to 15.5%.
Dhruv Muchhal: Okay. In Gujarat, it has moved from 14% to 15.5%.
Saurabh Mashruwala: Yes, ROCE basically.
Dhruv Muchhal: Okay. And this will be applicable for the next tariff period or 3 to 5 years? Or is it only for a single?
Saurabh Mashruwala: MYT regulation, as per MYT regulation.
Dhruv Muchhal: MYT regulation, okay. Perfect. Got it. And sir, does it also apply to your thermal asset AMGEN or only for distribution?
Saurabh Mashruwala: No.
Dhruv Muchhal: It's only for distribution, okay. And sir, second is on the renewable.
Saurabh Mashruwala: Dhruv, just to correct, it would also apply for AMGEN because it's part of distribution.
Dhruv Muchhal: It's part of distribution. Okay. Perfect. And the next question is on the renewable execution. Now you have a decent pipeline of wind assets and hybrid assets to be executed based on your PPT to be executed in FY '27. So you have, I think SECI XV then TPL -L project and REMCL project.

So we are hearing a lot of challenges in the sector because both a mix of transmission issues and mix of wind execution issues.
And your near -term visibility is primarily driven by wind and hybrid. So if you can help us a bit more in terms of probably, I don't know, the proportion of land that you have acquired, the quantum of transmission, which is available with you already, whic h gives you visibility that this 1.2, 1.5 gigawatt can actually happen?
Saurabh Mashruwala: In terms of land, we are reasonably okay. Land is not the issue. Only thing -- maybe the ROW issue everybody is facing, we may face, but we have to handle those issues, and we have to implement our execution plan.
Dhruv Muchhal: Okay. So because it's a mix of wind and transmission where it seems the challenge is generally even higher than solar and transmission. So I just wanted to understand the comfort on the commissioning targets?

Saurabh Mashruwala: We are comfortable, I would say, in terms of implementing 1.2 to 1.5 gigawatt projects next year at this moment.
Dhruv Muchhal: Okay. So probably the equipment would get available, the wind equipments. But on transmission, do you have the transmission access already or it's in the applied stage and it is pending commissioning?
Saurabh Mashruwala: Connectivity is all available for most of the projects, I would say.
Dhruv Muchhal: Okay. The physical substation probably is already commissioned?
Saurabh Mashruwala: That is to be …
Management : So I think, Dhruv, there are 2 parts to it. One is that you have the connectivity, which is yet to be commissioned. So some of our projects will have connectivity to those substations, which are already commissioned. Some of our projects are having connect ivity where augmentation or a new substation is getting commissioned. So it will be a mix of both.
Dhruv Muchhal: Okay. But based on your assessment on individual substation wise and project wise, you are reasonably certain of 1.2, 1.5 gigawatt?
Saurabh Mashruwala: Yes, yes.
Dhruv Muchhal: Okay. And sir, generally, we have seen -- I mean, generally, in the industry, the bidding activity is low, if you commission 1.2 this year or 1.2 next year, you're already done through your contracted pipeline, including the C&I projects, of c

ourse. You've already done through and even the merchant capacity. So how do we see -- how are you looking at the visibility beyond that, given it's -- I mean, we consider this as a platform business. So how about visibility beyond, say, next 2 years?
Saurabh Mashruwala: So we are bidding for most of the projects, I would say, but we restrict ourselves with our threshold IRR. If you look at the last Q3, we added about 500 -megawatt additional incremental capacity. So we keep on bidding and we keep on aiming for the higher capacities also going forward.
Dhruv Muchhal: Sir, I was wondering, can you probably get more aggressive in the C&I project side until the utility building happens or that's a limited market and probably...
Management : Dhruv, we are already aggressive. So effectively, we are there in all the bids or majority of the C&I consumers. It's all about the commercial aspect of it. If commercials are feasible, we will definitely want to lock in capacity. As we have stated earlier also, I think our aspiration is to reach a 10 gigawatts of renewable capacities, which we look at it.
If commercials are favorable, we will definitely want to lock in those. In past also, we have seen that 1, 1.5 years, the capacities were not growing, suddenly in 6 months, we would have -- we had built up 3 gigawatts of capacity. So those opportunities are available in the market as and when available, we'l l be able to catch that.

Dhruv Muchhal: Sure. And just one clarification. The 1.2, 1.4 is at the AC level, or is it the DC level? Is it megawatt peak or megawatt?
Saurabh Mashruwala: DC level.
Dhruv Muchhal: This is at DC level, okay.
Moderator: Our next question comes from the line of Satyadeep Jain from Ambit Capital.
Satyadeep Jain: Sorry, I got disconnected. One question on the PSP. In the presentation, you mentioned October '28 as the SCOD. Just wanted to understand that it looks aggressive given it's 2.5 years from now. How do you look at this time line versus typically what we are hearing in the -- was seeing

and hearing in the industry from others? And where are you in terms of preparedness to get this
executed in 2.5 years?
Saurabh Mashruwala: See, we are preparing ourselves for the execution contract, major contract, I would say, has been given for the PSP project. So maybe delay may happen. But as of now, all contracts, key contracts have been given.
Satyadeep Jain: So October '28 is the deadline as per the agreement with MSEDCL, right?
Saurabh Mashruwala: Yes.
Satyadeep Jain: And there can be extension to this base, so they can be...
Saurabh Mashruwala: There can be an extension.
Satyadeep Jain: For how long, what is the agreement typically say about extension? Does it have to be because of some particular reasons or?
Saurabh Mashruwala: Transmission capacity is not available kind of a thing, where substation may not be ready. So those kind of thing will get the extension.
Satyadeep Jain: Okay. DISCOM, again, so ROE, you mentioned this, I also want to understand, is there -- there's a one -off that you talked about in DISCOM. So is that INR41 crores at the PAT level and the INR270 crores you mentioned in generation is also at the PAT level. Can you explain?
Saurabh Mashruwala: These are all PBT level. PBT level.
Satyadeep Jain: So INR270 crores in generation, UNO SUGEN is PBT and this INR41 crores in DISCOM is also PBT.
Saurabh Mashruwala: Yes, yes.
Satyadeep Jain: And just on this 1 or 2 RE projects where you're seeking SCOD extension. Is that mainly because of lack of transmission for these projects ? Everything is installed on ground, you're just waiting for transmission or something else?

Management : So if you are seeing the transmission project is getting delayed , if you put up everything o

n
ground, effectively, you're incurring indirect cost, which nobody will reimburse you to. So you will always calibrate your implementation based on your expectation of transmission being commissioned.
Saurabh Mashruwala: So for execution of all the project is in line with the transmission is coming basically with the transmission line.
Satyadeep Jain: So these 2 projects where you're seeking extension, the SECI XII and the MSEDCL one, maybe how much delay are you looking at here? And this is all transmission in which location is this?
Rishi Shah : No, no. So I think project by project, there are different issues. If you look at MSEDCL, we have already commissioned part of it. It is only some part of it, which is pending, which is not because of transmission. It is because of some other factors, okay . As far as SECI XII is concerned, it's because of transmission not being ready, the evacuation part of it not being ready. So every project will have its own nuances because of which there are certain pluses and minuses.
Satyadeep Jain: Okay. So -- but as of now, you don't -- you must have some visibility on SECI XII or this you expect in FY '27, correct?
Rishi Shah : Yes. Yes, absolutely.
Saurabh Mashruwala: FY '27, yes.
Moderator: Our next question comes from the line of Atul Tiwari from JPMorgan.
Atul Tiwari: So first, I wanted to check whether in this quarter, you booked any income from the NVVN contract. Because I suppose there was some take and pay and the contract was supposed have finished by October.
Saurabh Mashruwala: So no, the contract was over by September Q2. So we have not booked any income in Q3.
Atul Tiwari: And sir, this INR270 crores to what period does it relate to the slips only this year or past few years? And what part of this will be recurring going ahead?
Saurabh Mashruwala: Past year, basically.
Rishi Shah : It is not recurring, it is one time.
Moderator: Our next question comes from the line of Ketan Jain from Avendus Spark.
Ketan Jain: Sir, just on the clarification on the previous question. Even the INR41 crores favorable order in distribution is also onetime or is it recurring?
Saurabh Mashruwala: If you look at -- as I explained on my call earlier, we are carrying some regulatory assets and that regulatory asset is carrying the carrying costs. So we keep on getting these kind of orders, favorable orders on carrying costs on a regular basis. That is what we can say right now.

Ketan Jain: Pertaining to Ahmedabad and Surat?
Saurabh Mashruwala: Ahmedabad and Surat, yes.
Ketan Jain: Sir, can you give us -- you gave the capex for RE, if you could provide us the total capex in terms of licensee franchisee and RE separately?
Saurabh Mashruwala: You want for this quarter or the cumulative YTD basis?
Ketan Jain: Cumulative 9 months.
Saurabh Mashruwala: Cumulative 9 months about INR1,100 crores for license and franchise basically, both put together. And transmission about INR240 crores. Coal project is about INR 400crores. PSP, we incurred about INR300 crores. Renewable, as we explained about INR3,100 crores, that is what we've incurred basically capex in 9 months.
Ketan Jain: What did you say after transmission, sir? I couldn't get the number.
Saurabh Mashruwala: Transmission after Transmission thermal project, coal project basically.
Ketan Jain: How much more?
Saurabh Mashruwala: INR400 crores.
Ketan Jain: INR400 crores. Okay. So this is INR4,200, so around INR4,000 crores. So what's the target for FY '26, sir?
Saurabh Mashruwala: Sorry?
Ketan Jain: What is the target capex for FY '26?
Saurabh Mashruwala: We don't give any target for the FY '26.
Ketan Jain: But we will have a similar run rate as in third quarter?
Saurabh Mashruwala: Yes. Our run rate is -- if you look at the Q3, run rate has increased. So similar pace will be there

going forward also.
Moderator: Our next question comes from the line of Bharani V. from Avendus Spark.
Bharani V.: Yes. So I just want to clarify one thing. The INR 270 crores , negative INR77 crores on the generation side and the INR41 crores on the distribution side, these are all PBT numbers, right?
Saurabh Mashruwala: PBT...
Bharani V.: Can you give a corresponding EBITDA number for these 3, sir, for the third quarter?
Saurabh Mashruwala: It is given even in the -- we give the segment analysis also where the EBITDA numbers has been given.

Bharani V.: So the incremental INR270 crores is PBT. So what would be the incremental specifically on this regulatory onetime impact on the EBITDA side?
Saurabh Mashruwala: This is the EBITDA numbers only .
Rishi Shah : So EBITDA and PBT, there is no difference between this.
Bharani V.: Okay. And second question is on -- of course, someone also asked the nature of this favorable regulatory order on UNOSUGEN. Is it possible to explain that?
Saurabh Mashruwala: We explained the INR41 crores carrying cost order, which keep on coming because we are carrying regulatory assets.
Bharani V.: Sir, my question is on the INR270 crores of favorable regulatory income we booked due to UNOSUGEN. So just if you can explain what was this related to?
Saurabh Mashruwala: We'll explain -- we will not able to explain at this moment right now.
Bharani V.: Okay. My final question is on this INR41 crores on the distribution side you mentioned. Somewhere I think you also mentioned that the ROE has increased from 14% to 15.5%. Is that something that I heard right?
Saurabh Mashruwala: No, that is ROE, the carrying cost order is different.
Bharani V.: Okay. So ROE having increased from 14% to 15.5%...
Saurabh Mashruwala: ROCE, it is now ROCE basically, not ROE.
Bharani V.: So that is neutral, right? Because at the ROE level it will be same, because it's just a different way of compensating, but still the net profitability at the ROE level will still be the same to clarify?
Rishi Shah : So Bharani, basically ROCE, I mean 14% or 15.5%, there are certain milestones which regulator has defined. If you are meeting those milestones, you can earn up to 15.5%. So there are different parameters which have been defined.
Bharani V.: So, my question is, earlier, we were getting compensated based on ROE, which was 14% regulated...
Rishi Shah : The 14% has moved to 15.5%, but the methodology has changed from ROE to ROCE, but 15.5% also is ROE. But there are certain slabs. So if you achieve this much, you can get 25 basis points incremental. If you achieve this much, you can get 50 basis increment al. So 14% or 15.5% both are effectively ROE numbers, but regulator has shifted from ROE to ROCE.
Bharani V.: Okay., I will pick it up offline. No problem.
Moderator: Our next question comes from the line of Aniket Mittal from SBI Mutual.

Aniket Mittal: Just actually, that is non clarification that I wanted. So it's on an all -in basis, given this new MYT order, what's the increase in ROE that we're effectively seeing in Ahmedabad and Surat?
Rishi Shah : So Aniket, basically, what we're trying to say is that 14% is an ROE, 15.5% also is an ROE. The methodology has been changed from ROE to ROCE, first point. Second is another regulations, regulator has defined a base ROE or ROCE on equity. Then there are ce rtain milestones based on which your return on equity increases if you achieve those milestones. And the highest one which you get is 15.5%.
Aniket Mittal: So are we trending at the highest one? I'm just trying to understand, let's say, the incremental delta in ROE, is it 150 itself for us? Or is it somewhere in the middle?
Rishi Shah : We would aim at incremental delta of 150 basis points. Some years, you m

ay not be able to achieve this if you are not achieving those milestones. So it could be slightly lower.
Aniket Mittal: The other question I had was just on Bhiwandi. I think the franchise agreement for Bhiwandi is valid till Jan '27, which is about a year away. Just trying to understand what's the discussions over there? How does one think about that franchise agreement going forward?
Saurabh Mashruwala: So we are under discussion right now with the MSEDCL for the extension.
Aniket Mittal: Okay. Fair. And just one last question. What would be the overall regulatory assets currently on Ahmedabad and Surat right now?
Saurabh Mashruwala: Regulatory assets would be, Ahmedabad, Surat would be about around INR3,000 crores.
Aniket Mittal: INR3,000 crores, okay. Fair.
Moderator: Our next question come from the line of Anuj Upadhyay from Investec.
Anuj Upadhyay: Can you elaborate further on the LNG sale agreement, which we have done with the JERA? And with this 0.27 MMTPA, how much of the fuels we have secured across our gas base station and for what period?
Saurabh Mashruwala: JERA agreement is about 0.27 MMTPA , which is transferred into the 4 cargoes, starting from 2027 to 2037 for 10 years contract we have executed.
Anuj Upadhyay: Okay. So this is 0.27 cumulative, you are saying?
Saurabh Mashruwala: Per annum.
Anuj Upadhyay: Per annum, which we are doing it. Okay. And with this, how much of the total requirement?
Saurabh Mashruwala: So requirement would be about 25% kind of a thing.
Anuj Upadhyay: Okay. Okay. And on the pricing front, how exactly these contracts are placed? Are they fixed? Are they flexible?
Saurabh Mashruwala: It is linked with the brent .

Anuj Upadhyay: Got it. Got it. And second, on the SMK side, any time line by when we can achieve -- we are targeting to achieve a breakeven over there? Or anything on the profitability? So basically, not exactly aware how the profitability have placed over there. It's ha s been almost like 4 or 5 years we have taken over the circle. So how things are progressing over there in terms of profitability?
Saurabh Mashruwala: So in terms of AT&C losses , if you look at, we have reached about 20% level. So we are near to the breakeven, I would say.
Anuj Upadhyay: So by next year, we can expect breakeven happening, sir? FY '27?
Saurabh Mashruwala: Yes. Yes.
Anuj Upadhyay: Okay. And how much capex you would have spent till date on SMK?
Saurabh Mashruwala: Currently, we will get back to you on that number, we have to pull up the numbers on a cumulative basis.
Anuj Upadhyay: Okay. And any update on the parallel licensing?
Saurabh Mashruwala: There is no further update at this moment.
Moderator: Our next question comes from the line of Dhruv Muchhal from HDFC AMC.
Dhruv Muchhal: Yes. Sorry, I missed the MYT regulation actually. Just to clarify, I was reading the regulation. The change to the return on capital employed method is only applicable for capitalizations post April '25. Is that understanding correct?
Saurabh Mashruwala: Yes. Yes.
Dhruv Muchhal: So it's basically a prospective change. For the older assets, you continue to earn the ROE as you were earning earlier. Of course, the rate has changed. But for the incremental assets capitalized, it moves to the ROCE model.
Saurabh Mashruwala: Absolutely, absolutely. You're absolutely right.
Dhruv Muchhal: Perfect, sir, that's the only clarification.

Moderator: Our next question comes from the line of Arul Selvan from Bajaj Life Insurance Limited.
Arul Selvan : This is a follow -up of the previous question that somebody asked. The question is with respect to the incremental milestones that have to be achieved to get that 150 points delta on the ROE. Could you just give us a sense of what is the nature of those mil estones that have to be achieved before we can get

that 150 basis points delta?
Rishi Shah : Arul, these are all milestones are linked to operational efficiencies like your AT&C loss, your SAIDI, your SAIFI, your other parameters linked to your operational parameters.
Arul Selvan : Okay. Okay. And is there any timeline by which you have to achieve that or is it like you get that...

Saurabh Mashruwala: It's yearly, based on yearly performance.
Arul Selvan : Okay. Okay. I was wondering if there's any normative level that we'll have to achieve every particular year before we'r e eligible for those incentives.
Saurabh Mashruwala: Yes, those normative levels are there. And if we achieve those normative, we get extra incentives.
Arul Selvan : Okay. Okay. Secondly, one more question was with respect to, again, the Bhiwandi distribution franchise. Does the existing contracts have any clauses for renewal? Or is it going to be like a fresh sort of a bid that the government has to invite for renewal of the current distribution franchise?
Rishi Shah : So if you look at our investor PPT, we have already said that can be extended 5 years upon mutual agreement.
Saurabh Mashruwala: Mutual agreement. So it's a mutual discussion going on. But it can be extendable for further period of 5 years.
Arul Selvan : Okay. Okay. So hopefully, we should be hearing some news about that before February 2027? I'm just wondering if there's any deemed extension clause, if there's no news on that at all?
Saurabh Mashruwala: There is no automatic extension clause, but we need to discuss with MSEDCL.
Arul Selvan : Okay. Okay. And lastly, with respect to your parallel licensing, I'm just trying to get a sense of how much could be the amount of capital that you could be investing if the parallel licensing applications are allowed. Any rough sense in terms of...
Saurabh Mashruwala: I think it's too early to comment on that. Unless it is awarded, I think we should first get the first thing cleared and then we can discuss on that. And it depends on the area also, how large is the area, how small is the area. So it depend all even on th e approval, we are going to get on particular area.
Moderator: Our next question comes from the line of Bharani V . from Avendus Spark.
Bharani V.: Are there any short -term gas tenders in the market right now? We've heard something coming up from Tamil Nadu. Can you please elaborate if there is any...
Saurabh Mashruwala: Very recently, SECI 19 tenders was closed.
Rishi Shah : No, I think -- so I think Bharani, we'll not be able to comment on that, I mean, for the future part.
Bharani V.: No, I'm just asking, is there any gas tenders, like the NVVN kind of tender that...
Rishi Shah : No, not like NVVN tender as of now. But see, as the summer comes in, typically discoms keep on doing short -term contracts for procuring power for their requirements. So that is a normal phenomenon which happens.

Bharani V.: Sure. And there is a possibility that something like NVVN tender comes up for this year too, right?
Saurabh Mashruwala: We will not able to comment at this point of time.
Moderator: Ladies and gentlemen, as there are no further questions, I would like to hand the conference over to Mr. Saurabh Mashruwala, for the closing comments. Thank you, and over to you, sir.
Saurabh Mashruwala: Yes. Thank you for joining Torrent Power's earnings call. We wish everybody to stay safe and healthy. Thank you so much.
Moderator: Thank you so much . Ladies and gentlemen, on behalf of Torrent Power Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

"Torrent Power Limited
Q4 FY '26 Earnings Conference Call "
May 13 , 202 6

MANAGEMENT : MR. SAURABH MASHRUWALA – DIRECTOR AND CHIEF FINANCIAL OFFICER – TORRENT POWER LIMITED
MR. RISHI SHAH – GENERAL MANAGER , FINANCE – TORRENT POWER LIMITED
MR. JAYPRAKASH KHANWANI – ASSISTANT GENERAL MANAGER FINANCE – TORRENT POWER LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Torrent Power Limited Q4 FY '26 Earnings Conference Call. From the management team, we have with us, Mr. Saurabh Mashruwala , Director and CFO; Mr. Rishi Shah, GM Finance; and Mr. Jayprakash Khanwani, AGM Finance.
As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Saurabh Mashruwala. Thank you, and over to you, sir.
Saurabh Mashruwala : Thank you so much. Good morning to all of you, and thank you for joining earnings call of Torrent Power for Q4 FY '26. First, I will take you through the performance of the quarter, after which we would welcome questions. We'll explain the performance of t he company at PBT level first, and then I will take you through the tax expenses separately.
Reported PBT for the quarter stood at INR547 crores as compared to INR619 crores in the corresponding quarter of last year, a reduction of INR72 crores. PBT for the current quarter includes nonrecurring provisions of INR171 crores arising due to capping of power purchase cost for UNOSUGEN power projects in the FY 2024 -25 true-up order . A similar restriction ha d been imposed in earlier year as well, which was contested by us and subsequently approved in our favo ur. As a result, a credit of INR273 crores was recognized in P&L in the previous quarter of the current year.
Considering prudence, provision has been recognized in the current quarter. Based on the pastprecedent , we are reasonably certain that the current matter will be also approved in our favour. Adjusted for the one-offs, PBT for the quarter stood at INR718 crores as compared to INR619 crores in the comparable quarter of last year, an increase of INR99 crores, that is 16% on an adjusted basis.
Tax expenses were lower during the corresponding quarter of last year due to noncash reversal of deferred tax liabilities of INR637 crores and the deferred tax liabilities is not comparable.
Business -wise, factors contributing to the performance are as follows: first, receipt of favorable orders from the regulators approving the carrying cost of previous year of INR186 crores, receipt of incentive for installation of solar rooftop in Ahmedabad and Surat by INR58 crores, reduction in T&D saving in license distribution units due to significant reduction in normative parameters by regulators, partially offset by improved T&D losses in distribution franchisee business by INR15 crores.
`Additionally, the contribution from the license distribution business was supported by the increase in ROE and ROCE on account of capitalization of assets and higher rate of return on equity as per the new tariff regulations and other incentive increase of INR15 crores. We would like to take this opportunity to appraise certain pertinent changes in the tariff regulations with respect to allowance of ROE and ROCE on assets capitalized. There are two situations. One, of course, is for assets capitalized on or after 1st April '25. Returns are now allowed on a return on capit al employed basis, wherein the underlying return on equity is permitted at a base ROE of

13%, which can go up to 15% based on the achievement of incentive milestone stipulated . This is compared to the fixed ROE of 14% in the previous regime.
For the asset capitalized prior to 1st April '25, the situation is , method of allowing of the return on equity on the regulated equity base continues as under the earlier framework. However, regulator has allowed incentive to be

accrued on these assets also based on achievement of
incentive milestone, which in effect has increased the effective ROE from 14% to 15%. It is pertinent to note that the perfo rmance -based incentive, -- included within the ROE are over and above the incentives which were available -- which were already allowed in the form of savings in controllable expenses. This effectively has probability to improve ROE by 1% on an annual basis, depending on the performance of the license d distribution business.
Further , the regulatory gap for the company has been reduced by almost INR800 crores, backed by better operational efficiency as well as lower power purchase costs with FPPPA remain ing the same as last year.
Contribution from thermal generation business adjusted for nonrecurring items decreased by INR90 crores, mainly on account of two factors. First, additional O&M expenses incurred in the quarter on account of scheduled maintenance; and second, reversal of certain provision made during the corresponding quarter of last year under the thermal generati on segment. The third reason is contribution from the renewable generation reduced by INR20 crores on account of income from generation -based incentive on account of exhaustion of statutory threshold or time line allowed for the incentive.
The other factor contributing to lower profitability was on account of the increase in expenses and depreciation, which was on account of higher capitalization, mainly in the renewable segment and the increase in finance costs led by the higher capitalizat ion and related borrowing.
This completes the explanation of the financial performance in the quarter.
Moving on to the project update. The progressive commissioning of 367 megawatt MSEDCL project, aggregate installed capacity -- generation capacity of the company stood at 5.1 gigawatt as on 31st March '26, comprising of 2.7 gigawatt gas, 2 gigawatt of renewables and 362 megawatts of coal-based capacity . Khavda Transmission project got commissioned during the quarter. For implementation of 1.6 gigawatt thermal project in MP, activities are underway, wherein following major milestones have been achieved.
First, powerful agreement executed with MP Power Management Company Limited; second, letter of award issued for boiler, turbine, generator and balance of plant and environmental clearance received for the project. The second project update is on account of hydro, pumped storage hydro project. For implement ation of 3 gigawatt pumped storage hydro capacity, activities are underway where the following major milestone have been achieved.
Energy storage facility agreement with MSEDCL executed; second, letter of award issued for the civil and hydro mechanical package as well as electrical and mechanical package; and third, environmental clearance received for the project. Regarding Nabha Powe r acquisition, CP

compliance are underway right now and transaction is expected to complete in the current quarter.
Apart from this, renewable projects of 4 gigawatts and transmission project of Solapur are under implementation. Further details of the pipeline projects have been summarized in our latest investor presentation available in our website. That's all for this quarter. Now I would request coordinator to open the line for Q&A session. We wish everybody to stay safe and healthy.
Thank you so much. Handing over to the operator.
Moderator: Thank you very much. The first question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.
Mohit Kumar : Good morning, sir. Thanks for the opportunity. My first question is, sir, can you please help us again with the one -off in the quarter in generation and explain the nature of these one -offs? I think we missed -- I think you mentioned in opening commentary, but I missed -- but I could not understand

it.
Saurabh Mashruwala : So one -off item is basically UNOSUGEN power purchase cost, which we have kept it for FY 24-25 and true-up was due by March in the last quarter of -- we got a true-up in the last quarter of March. So, in the last part of March, they have kept the power UNOSUGEN power purchase

costs particularly, and they have made a disallowance of INR171 crores. That is one -off the
items for the UNOSUGEN power projects.
But as we highlighted, we informed that in the earlier quarter, similar allowance was given by
INR273 crores. We made a provision earlier, which was allowed by the regulators in the previous
quarter. So, we are hopeful that this will also will get approved in due course.
Mohit Kumar : Understood. And this order came in the March quarter. Am I right?
Saurabh Mashruwala : March, yes. Before March. Before 31st of March '26.
Mohit Kumar : Understood. My second question is can you help us with the gas availability and clarify about
whether the earning risk to the others, any availability risk of the gas for our gas -based power
plants in FY '27?
Saurabh Mashruwala : So yes, as we informed earlier also, we have contracted 3 cargoes for making the summer
demand so that we are getting those cargoes. We are not being impacted because of the war
situation between the US and Iran. So, summer cargo -- for meeting the summer demand, we
have contracted 3 cargoes, out of which 2 cargoes, we have already received it . The next cargo
is expected come in the month of June, so for meeting the summer demand.
So that situation remains same. And the situation going forward as price has gone up a bit, what
we expect, of course, things will stabilize in some time and supply will start -- the supply will
flow in, I would say, from the Strait of Hormuz.
And as far as supply is concerned, our view is that gas -- there is ample amount of gas available
in the market, though the price -- because of the current situation, price has gone up. But as far

as supply is concerned, it's not a major concern, I would say. So, availability is not the issue. We
will continue to get the recover the fixed cost based on availability of gas. Price is, yes, a bit
higher. It will take some time to stabilize.
Mohit Kumar : And my last question on the capex , which you did in F '26. Can you help us with the number
and also the segment -wise capex and your expectation of capex in '27?
Saurabh Mashruwala : So, in terms of -- can I give the full year details or the quarterly details you want?
Mohit Kumar : Full year details. F '26 full year details, yes.
Saurabh Mashruwala : Yes. So , license distribution and franchisee, we incurred almost INR1,600 crores capex for the
full year. Transmission, since the one project, Khavda project, has got commission & Solapur
under construction right now. , we spend about almost INR550 crores in transmission projects.
Thermal project, particularly the coal -based project, we spent about INR700 crores capex . And
renewable is a substantial chunk, close to INR6,500 crores capex we spend for the renewables.
Mohit Kumar : Understood. And the capex number for F '27, sir, expectation, how much?
Saurabh Mashruwala : It will be definitely higher than this. So , I would say definitely much, much higher than this
amount.
Mohit Kumar : Is it right to say it's 2x of this number?
Management: So, Mohit, we will not be able to give you any guidance, per se. But investor PPT, we have
uploaded, project -wise, a SCOD date. Guidance would be difficult to give. But what we can say
is that current year capex , the next year capex would be higher than what we have incurred in
FY '26.
Mohit Kumar: Thank you.
Moderator: Thank you. Next question is from the line of Sumit Kishore from Axis Capital. Please go ahead
Sumit Kishore : My first question is around gas again. Good to hear that 2 cargoes of gas

out of 3 have come.
What are source countries from which you're getting gas now? And the LNG sourcing
agreement, which was with BP JERA, I think which kicks off in 2027, was that fro m Middle
East countries? Or is sourcing not specified in the contract?
Saurabh Mashruwala : So, the cargo with 2 cargoes, we have got, it's not coming from the Strait of Hormuz. It is other
than Strait of Hormuz. So, we are getting the cargoes. Third cargo also, we expect we'll get it.
So, it should not be an issue. That is what currently we foresee. In terms of the supply starting
from FY -- current calendar year '27, yes, it is on with the BP and JERA. So -- and hopefully,
things will be normal by that time, should not have any material issue, I would say, in getting
the supp ly in calendar '27 onwards.
Sumit Kishore : BP JERA will be how many cargoes in the next financial year?
Saurabh Mashruwala : So, in total, both of them combined, around 10 cargoes per calendar year.

Sumit Kishore : So that's a lot for gas. So this is only for Torrent Power or for Torrent Gas also?

Saurabh Mashruwala : Something will be, we have to allocate for the Torrent Gas also.
Sumit Kishore : How much is the Torrent Power, which is relevant for us?
Saurabh Mashruwala : Five cargoes for Torrent Power.
Sumit Kishore : Got it. And sir, is the pricing in the contract for the 3 cargoes customer demand this year is around $10 is my understanding.
Rishi Shah : So Sumit, we'll not be able to give you exact pricing, but these are all fixed cargoes, and hence, they are not high as what we see at the spot pricing. So they are lower than that.
Sumit Kishore : The second question is on the T&D segment. So you explained a couple of nonrecurring items during the quarter. But what I'm more interested in is that after the shift in the return framework, on a like -for-like basis, if you would have calculated your sort of return under the new regime versus the old regime, is that proving to be ROE accretive, and to what extent? So if you can sort of help explain this particular point.
Rishi Shah : So yes, let me take that question. So basically, if you look at it, the ROE regime, which was earlier was 14% flat, now it has been shifted to ROCE. But assets which were capitalized pre 01.04. 2025, those will also get incremental incentives if we are able to perform. So if I look at it current year, the ROE is better than what we would have earned under the earlier regime. Now the incremental incentives will depend on the performance -based ince ntives, which means if you are able to manage that or if you're able to get that, you will have a higher incremental ROE. Assuming that we'll be able to achieve those performance -based parameters, ROE definitely will be higher than what we got under the earlier regime.
Sumit Kishore : Rishi, you are already one of the best operating DISCOMs in the whole countr y. I mean, the AT&C losses are 2 .5%, if I remember. So what better can you do? What is the performance ?
Rishi Shah : Yes. So it's not only T&D losses, Sumit. It is a host of factors, which also takes care of your availability of network. It also takes care of your smart meters, how are you achieving that. It also talks about definitely T&D losses and all.
Saurabh Mashruwala : It also talks about our collection efficiencies. So there are milestones being given. So we hope to achieve the most of the milestone. That is what the current expectation is.
Sumit Kishore : Got it. Then the last question on the renewables segment. So there was a year -on-year decline in PBDIT in the quarter from the renewables segment. So are you also getting impacted because of the curtailment issues? And how are you placed in terms of evacua tion for the 4.3 gigawatt peak that is under implementation?
And so how would you phase out the capacity addition after a rather lack

lustre year, if I may
say so, in terms of capacity addition for Torrent Power at 250 -megawatt plus? What is it looking

through FY 27, FY28? And what is the phasing? How much will come in first half and second half of the year, if you can give some colo ur?
Saurabh Mashruwala : So we are not impacted by this scenario, I would say. And we are back ed by PPA. So we are not worried about all the open capacity, very miniscule open capacity. So there is no curtailment, I would say, in our renewable power project in supply. So we are not impacted.
And we don't expect there will be some impact going forward also because of the curtailment.
Rishi Shah : So as far as phasing is concerned, Sumit, so effectively, we expect that next year, there should be 1.2 to 1.4 gigawatt of commissioning. If you look at the phasing, if you look at our investor PPT, we have broadly given which projects are expected to come along with months which are expected to come. So you can refer to that phasing.
Sumit Kishore : Yes I think that information is there. Thank you.
Moderator: Thank you. Next question is from the line of Satyadeep Jain from Ambit Capital. Please go ahead.
Satyadeep Jain : Hi, thank you. Just a first clarification on the one -offs. So if I understood correctly, generat ion reported EBITDA loss is INR 39 crores. You're saying there's a one -off of INR 171 crores, so that gets added. But still , that's still maybe INR120 crores, INR 130 crores of adjusted EBITDA, which is typically lower than the EBITDA you generate on the regulated assets. So what is driving that?
Or is there anything else we are missing? And secondly, on the one -off w ould be just clarifying. So INR 1,110 -odd crores is the transmission distribution EBI TDA, you're saying there is INR 186 crores of one -offs, right? Just clarification on the one -offs.
Saurabh Mashruwala : So generation, as you rightly said , the INR 171 crores was the charge we have taken in the generation business, which has integrated the generation EBITDA. Re moving that, there is about INR90 crores reduction mainly because of 2 factors. One is the higher O&M expenses because of the scheduled maintenance. And we've made some certain provisions last year, which we have reversed certain provisions last year, which is not the case this year. Th at is both have impact on the generation EBITDA.

In terms of distribution, we got the carrying cost order in the month of March, and we have
booked distribution income of INR 186 crores. And this is a routine feature, I would say, it's not
basically , we don't see as a one -off because every year, we are getting carrying cost because of
the regulatory assets we have built up so far. So it will be a routine feature and we keep on
getting this kind of orders as and when the certain items will be accrued i n our favo ur.
Satyadeep Jain : Okay. Second, on the gas business. You mentioned there are 10 cargoes you have contracted
and some will be Torrent Gas and Torrent Power. I just wanted to understand how do you have
to show availability? Because 7, 8 cargoes for Torrent Power will not be s ufficient for showing
80%, 85% of availability.

What do you have to show to get the full carrying cost? Just understanding how that process
works? And also at the current gas prices, do you see any potential at all for selling in to XTAM ?
Are you seeing any demand in XTAM ? Or do you see any LNG trading in possibility at the
current slope levels?
Saurabh Mashruwala : See 10 cargoes which we have booked from the next year onwards is , we have contracted 10
cargoes. But always spot market or as and when required, we can buy basically. It's not , these
are the cargoes available only. So always opportunities available to buy more cargoes also as
and when the demand . So we see the demand coming in

and the prices are reasonable. So yes,
procurement will go up based on the demand and the price going forward.
Rishi Shah : And Satyadeep , just to add, effectively, if you look at it, last 4 or 5 years, my PPA -based, gas -
based thermal power plants, their average PLF has been around 30% to 35%. If I assume that
kind of PLF going forward also, 6 to 7 cargoes are sufficient enough to take care of that.
Effectively all these cargoes are take -or-pay contracts.
So if you assume that 85% PLF and book your cargoes and if that is not lifted by the DISCOM,
then you are looking at the take -or-pay penalties or take -or-pay premiums to be made. So what
you try to do is manage the flexibility of gas based on the DISCOM demand. And as Saurabh
rightly mentioned, that we anyway have spot available if there is a need for cargoes.
Saurabh Mashruwala : And gas is available. So demonstrating the availability is not at all an issue, which we have
demonstrated earlier also while reporting about 35% PLF. So demonstrating availability is not
an issue. We will always demonstrate availability because ample amou nt of gas is available in
the market.
Satyadeep Jain : So you try to show availability based on maybe anticipated PLFs. And in case the demand is
higher, because the availability has to be in sync with the schedule. In that case, you would just
book cargoes on spot and show availability. Is that , otherwise, there will be under recoveries if
there is .
Saurabh Mashruwala : It's always available. So it's a question of pricing, like at what price gas is available. So if price
is reasonable, we always import the gas, and that is what we did previously also. And we have
a fair amount of coverage available next year onwards. So demonstrating availability, we don't
foresee any issue.
Satyadeep Jain : And so the possibility of maybe XTAM at all at current prices or LNG trading at current scope,
are you seeing anything in the near term?
Rishi Shah : Look, so I think at current prices, that would be very difficult to sell power on the merchant
prices at current $20 or $16 sort of gas prices. If prices go down, LNG prices, and demand
considering what we've seen in last 2 months, if that remains, then th ere could be a possibility
going forward. But for that, LNG prices in the international market should come down.
Satyadeep Jain : And LNG trading, anything slope given the current slope? Are you ?

Rishi Shah : So right now, we don't have many cargoes booked. So there is no inventory right now with us
for trading business.
Satyadeep Jain : Okay. Just last, very quickly on the leverage. You've obviously exercised the optionality by
using capital for Nabha Power and also for MP. Given the leverage that you're looking at right
now, is there potential , are you looking at deploying more capital on any new thermal bids or
any other opportunity? Or for now you think you're comfortable with the leverage and maybe
execute the projects you already have?
Saurabh Mashruwala : No. So see, if you look at the power sector are in an investment phase right now and our leverage
ratio is quite comfo rtable. And with the committed cape x also, we don't see that the leverage
will exceed beyond our reach, I would say. So there is enough cushion available within the

balance sheet to take up more projects, if we are getting the good project at the good returns also. So there is no restrictio n, I would say, in terms of leveraging to take up any further opportunities for inv estment.
Rishi Shah : And Satyadeep, all these thermal projects are typically 5, 6 years sort of investment cycle, wh ich you see. So right now, the capex cycle or the committed cape x, which we ha ve goes till FY31, FY32. And if you really look at based on current profitability and the new projects coming in, the leverage is under control. And once the project commissions, it falls off s

ignificantly once EBITDA starts coming in. So we feel that there is still room for u s to take on incremental projects as far as thermal is concerned or renewable is concerned, considering that new projects will start giving us EBITDA or cash flows as soon as they commission.
Saurabh Mashruwala : The cape x phasing , and current cape x phasing is well balanced. So we will be able to manage any incremental project c oming in to fund those kind of cape x.
Satyadeep Jain : Okay thank you so much sir.
Moderator: Thank you. The next question is from the line of Sucrit D Patil from Eyesight Fintrade. Please go ahead.
Sucrit Patil : Good morning to the team. I have 2 questions. My first question to Mr. Saurabh is, in your point of view, how is Torrent Power preparing to capture future opportunities in renewable and distribution areas, while addressing challenges such as regulatory uncertainty, fuel cost volati lity and capital intensity. What strategic levers will you be putting into place that we will see in the coming quarters that will help you to sustain the growth and keep the profitability stable? That's my first question. I'll ask my second question after this.
Saurabh Mashruwala : So in terms of our investment plan, as you know, we have already announced investment of renewable , we are at 4 gigawatt of capacity with INR28,000 crores cape x. Coal also, 1.6 gigawatt with INR23,000 crores cape x. Pump storage 3 gigawatt, we have investment pla n about INR14,000 crores.
Distribution cape x keep on happen ing every year, it's a gradual cape x in all , across all our distribution area. And yearly, we expect about INR2,000 crores cape x at least for 4, 5 years going forward.

And we are doing this Nab ha acquisition. So in terms of capex plan, we have a fairly good cape x plan, and we are looking then at Torrent P ower sector per se is on an investment phase, good opportunities are available, good projects are available. So always, we are ready to pay and our balance sheet is very strong, under leverage d balance sheet. So ample room is available for further investment also. So we are quite comfortable, I would say, in terms of our investment strategy.
Sucrit Patil : My Second question to Rishi Shah is what improvement in financial reporting and analytics are being implemented to enhance the decision -making and investor confidence? How do you see technology and automation contributing to faster, more accurate financial operations in the coming quarters? Thank you.
Saurabh Mashruwala : So, in terms of decision making and all those things, as I explained in my earlier remarks also that power sector is on investment phase, good opportunities are available for players like us and the leverage ratios are also comfortable. So, it's not -- and demand is also going to be strong. If you look at the last 10 years CAGR of the power demand, it's about 6% CAGR. And same thing will -- we will see that the same momentum is continuing. Since we have a very balanced portfolio of license distribution, franchise distribution, the generation we have a two -part tariff available for our key projects basically key plants. And you have some open capacity. So, all kind of a levers available to achieve good performance going forward.
Moderator: Next question is from line of Sunny from Avendus Spark.
Bharani: Yes. Am I audible? This is Bharani from Avendus.
Management: Yes.
Bharani: So, what is the adjusted EBITDA for 4Q FY '26, sir, given the adjustments that we will be making in the generation segment and in the Transmission and Distribution segment. After you adjust for that, what would be the adjusted EBITDA?
Saurabh Mashruwala : So, for the quarter, EBITDA reported is INR1,220 crores. And one -off is INR171 crores we have charged. So, we had INR171 crores in the reported EBITDA. That's what the adjusted EBITDA for th

e current quarter.
Bharani: So, we adjust even the INR186 crores in the Transmission and Distribution segment?
Saurabh Mashruwala : So, I explained. So, it's basically normal since we are carrying regulatory asset, it's bound to happen that we are going to get the carry ing costs as and when on most of the orders coming in.

So, it's a normal feature, I would say. It's not -- may not be considered as a one -off. That is what our take is. So, it's a normal feature. It's all, I would say, not only to us with all the distribution company because they are carrying a regulatory asset, and they will approve the carrying cost every year.
Rishi Shah : So, Bharani, we are not considering that as a one -off, as Saurabh bhai explained.

Bharani: Okay. When it comes to the Generation segment, when I'm adjusting for this INR171 crores, we reported minus INR39 crores. So, the adjusted EBITDA comes to INR132 crores plus side compared to INR233 crores for FY'25 same quarter, that is the fourth quarter. So, this drop you are telling is because of what reason, sir, that I missed?
Saurabh Mashruwala : So, the first drop is on account of some scheduled maintenance in our gas -based power during the course of the quarter, which has costed us additionally, I'd say, INR40 crores. And there was some reversal which we made in the last -- similar quarter of las t year, which is not the case in the current quarter, which has impacted the performance of the generation business.
Bharani: Okay. And usually, there is some LNG gain or merchant gain in this segment? I'm assuming there is no such number in this particular quarter?
Saurabh Mashruwala : Q4 is always a winter month. Winter quarter would be less merchant sales and LNG sales. So, if you look at the both quarter comparable quarter last year & the current quarter, there were no material, I would say, gains to be reported, I would say. Some gain will be there, but not material, I would say, which we can talk about.
Bharani: Okay. And one final clarification on this UNO SUGEN power purchase cost, which is resulting in this INR171 crore s number. So, is it because the regulator is yet to approve this INR171 crores of extra cost incurred in FY'24?
Saurabh Mashruwala : They have put a cap on the cost basically. The -- Upto certain amount they have approved. Beyond that, they said the -- as of now, they are not approving it. But we will -- similar situation , had happened earlier also. And in the last quarter in Q2, they have approved -- they have removed the cap and approved full power purchase cost. So, we expect that we will file appeal and decision will come in our favor going forward.
Bharani: Okay. And coming to the Renewables segment EBITDA, which is at INR186 crores. This is flattish to even lower compared to last year's same quarter despite capacity additions. So how should we read that?
Saurabh Mashruwala : Yes, it's a flattish number. Some reduction is there because of the GBI even one of the projects is getting expired, means it's over. So, we -- there is -- there was -- mainly this is because of the mainly reduction in the GBI income. So that has impacted the EBITDA for the current quarter.
Bharani: Sorry, I didn't get. What is the GBI income?
Saurabh Mashruwala : Generation -based incentive which government give for the renewable project for a certain period of time, 7 to 10 years , that has expired. Facilities that benefit was completed. So that was not available for the current quarter. That has affected the profit of the Renewable segment.
Bharani: Understood, sir. So, when would we have Nabha Power numbers getting consolidated?
Saurabh Mashruwala : We expect in the month of June, we'll be able to complete the transaction because currently, the Nabha L&T is in the process of complying the CP, condition precedent. So, which once it will

happen, we will consummate the transaction before -- in the current quarter. We expect the June numbers with Nabha Power project.
Bharani: Okay. That is 1Q '27 we'll have consolidation of Nabha?
Saurabh Mashruwala : Yes, that is what is currently we expect.
Bharani: Okay, sir. And final question is on gas supply. If my under standing is right, we have 3 cargoes from IOC L and Reliance and 3 cargoes for the summer demand. And we also have that Japan cargo that we have booked from calendar year FY'27. So, if my understanding is right? With all these cargoes would we be able to first have the availability for SUGEN assured for FY'27 plus also generate power during the summertime in the next one year also.
Saurabh Mashruwala : Your understanding is not right. I would say in terms of first point about the IOCL and ONGC and Reliance Gas, it's not a 3 cargoes. IOCL currently in the force majeure because it was -- they were getting that gas for the Qatar, which is the force majeure. So, nobody is getting that gas from the IOCL right now. In terms of ONGC and the Reliance gas, which is a domestic gas, that it was -- as government has pooled the cargo, pooled all the gas so that they can supply to the priority secto r requirement like CGD and the fertilizer kind of a thing.

So power sector comes later. So that gas is not available to the power sector. So, we are not getting the gas because the Government has pooled the gas of Reliance and ONGC. So that is not available. In terms of your second point about 3 cargoes, yes, the 2 cargoes we have received. One cargo is expected to get in month of June. Any further requirement we can meet from the spot purchase or maybe short -term contract we can able to do during the course of the balance period of the year. And in terms of cargoes coming in from the Japan a nd the BP basically, we will keep on getting from the next year onwards , so that will continue.

Bharani: So right now, with the 3 cargoes that we are getting from summer demand, we are meeting the availability of SUGEN and UNOSUGEN. And also, will be able to generate if required from DGEN plant, if the understanding right, sir?

Saurabh Mashruwala : So, 3 cargoes we are -- is available for our distribution. We are optimizing our distribution requirement and supplying meeting the availability criteria. Any additional gas available through this optimization will be used for the merchant sale.

Bharani: And you mentioned in one of the replies that at $16 to $20, it's difficult to make money in the merchant market. Just wondering, given it will come to variable cost of around INR9, INR10, the high -priced DAM market will have merchant prices higher than tha t. So just wondering, why would you say that?

Saurabh Mashruwala : No, we are not saying that it would be difficult. So, what we are saying is on an RTC basis it would be difficult. But on the peak market, which is our target market, we are able to do something about the peak market, not on the RTC basis...

Rishi Shah : But Bharani, you can't buy a cargo only for the peak market. So, you need some basic demand for RTC wherein you then book the cargo and then supply. So, on a -- it is not just peak market for which you buy a cargo. So, there are logistical issues also invo lved.

Saurabh Mashruwala : So, with our peak cargo, we are optimizing our overall demand requirement and then doing it.

Bharani: So final 2 questions. With the Japan and BP Cargo coming from next year, would we have enough comfort for the full year instead of relying on the summer cargo? Will that be the right understanding?

Saurabh Mashruwala : Yes. With the J ERA and BP cargo, yes, some -- and additionally, we can always buy the spot cargoes or do the short -term contracts will be enough to demonstrate the availability for SUGEN and UNOSUGEN.

Bharani:

Last question on the 3 summer cargoes, you said we got 2. So, does that mean that this is coming from the non -Persian Gulf source?

Saurabh Mashruwala : Yes, you are right.

Bharani: The last cargo that we are expecting in June would also be non -Persian Gulf, so it may not be impacted. Is that understanding right?

Saurabh Mashruwala : Yes, you are right.

Bharani: Thank you so much and all the best.

Saurabh Mashruwala : Thank you so much.

Moderator: Next question is from the line of Anuj Upadhyay from Investec India. Please go ahead.

Anuj Upadhyay : Yes, hi. Thanks for the opportunity, sir . Just one clarification on the capex guidance which you mentioned. So roughly, you mentioned it's around INR28,000 crore s for Renewables, INR26,000 crore s for Coal and INR14,000 crore s was for the PSP. That takes the total to roughly INR68,000 crore s plus your normal distribution capex to the tune of INR1,500 crores or INR2,000 crores per annum. That takes the total to INR80,000 crores over a period of 5 years. Is this a fair assumption if we assume that annually that number could range in the range of INR15,000 crore s to INR20,000 crore?

Saurabh Mashruwala : Coal, you said INR26,000 crores, which is about INR23,000 crores. Only one correction.

Anuj Upadhyay : Yes, yes. INR26,000 crores. So total INR80,000 crores over next 5 years. Is that a fair assumption?

Saurabh Mashruwala : Yes, you can take this kind of assumption . We are working with this kind of assumption .

Anuj Upadhyay : Okay. And I know if you just want to phase it out, I believe probably second or third year onwards, it would be heavy capex depending upon the milestone which we are achieving on the

construction phase . And secondly, sir, on the connectivity part. So, can you just mention how the connectivities are placed for the upcoming renewable projects?

Saurabh Mashruwala : So, connectivity in most of the projects are in place right now. So, connectivity is not the issue.

But upcoming transmission line, which has to come in on -time so that we can execute our -- implement all our renewable projects on time as per the expected schedule, I would say. So otherwise, connectivity is not an issue for our renewable projects available for the almost most of the project, I would say.
Anuj Upadhyay : Okay, sir. And lastly, on any development on the parallel licensing?
Saurabh Mashruwala : No further development at this moment.
Anuj Upadhyay : Thank you, sir. That's all from my end .
Saurabh Mashruwala : Thank you so much .
Moderator: Next question is from the line of Shirom Kapur from Jefferies India. Please go ahead.
Shirom Kapur : Just had a question on your merchant LNG gain. So, you said, of course, 4Q was not material, but for the full -year, could you maybe quantify how much was the overall gain during the year and how many merchant units were sold?
Rishi Shah : So, we don't bifurcate it between LNG sales and merchant. If I look at the total gains from both of them, it is -- it would be around INR675 crores for the full year. In terms of units, what we sold, it would be around 1,400 MU s.
Shirom Kapur : Got it, sir. And just to understand on your Nabha Power acquisition. So could you -- this is INR6,900 crores acquisition. How much would be the debt component and equity component? Would you have a sense of a rough split?
And secondly, how much of this could -- a second question on Nabha would be how much of this would add to your fixed asset base going ahead? And thirdly, what are the tariffs you're looking at in Nabha Power on that plant?
Saurabh Mashruwala : So, it's an acquisition enterprise value as we announced is about INR6,800 crores. And the equity value, we have about INR3,400 crores debt. The balance is the equity value. The plan to raise about close to INR3,500 crores to INR4,000 crores for funding of the project. And tariff wi

ll be
a 2-part tariff basically. So variable cost is pass -through. That is what the business model of Nabha is.
Shirom Kapur : Would you able to share what kind of tariffs we are expecting at least on the fixed side?
Saurabh Mashruwala : We don't have information available right now, but we can share the information offline.
Shirom Kapur : Okay, understood, sir. Thank you so much .
Saurabh Mashruwala : Thank you.

Moderator: Next question is from the line of Dhruv Muchhal from HDFC AMC. Please go ahead.
Dhruv Muchhal : Sir, a few questions on the renewable pipeline. So, the MSEDCL project, when should we expect the SCOD?
Saurabh Mashruwala : So, in fact, out of 367 megawatts most of the capacity we have commissioned, some capacity is not commissioned because of the location of the land which we have got it from the government is not ideally suitable. So, we have asked for the replacement and f rom the government. It's a basically lease land, which was provided by the government. So, we expect the replacement of the government and we expect in next 6 to 9 months, I think it should get commissioned.
Dhruv Muchhal : So, you can do partial billing for the portion of the capacity that you have commissioned?
Saurabh Mashruwala : Commissioned, we have started the billing. So non -commissioning is the government issue because there is a scattered project, it's located various locations. Project is we have solar project in Nashik area. So once that issue is sorted out, in fact, whatever capability are commissioned, we have started the billing also.
Dhruv Muchhal : And sir, for the SECI 12 project, COD?
Saurabh Mashruwala : COD, we have mentioned...
Rishi Shah : So, we have applied for extension there. It will take some time.
Dhruv Muchhal : So, should I expect, sometime in FY'27 or '28?
Saurabh Mashruwala : FY'27, I think before March '27, we will get some...
Dhruv Muchhal : And sir, are you still going ahead with the Merchant power -- 600-megawatt merchant project? Or are there any changes?
Rishi Shah : So, we are doing that project. So, Dhruv if you recollect our past interactions, what we have said is that all these merchants right now it is merchant. We are commissioning those capacities. But as and when going forward, we win any tenders or bids, we will be allocating that to those bids. So effectively, it may not remain merchant for the life of the project.
Dhruv Muchhal : Yes. But you go ahead with the project construction and everything ?
Saurabh Mashruwala : Yes.
Dhruv Muchhal : And lastly, we have seen that a lot of developers are doing the switch to batteries because you also have a lot of FDRE projects and hybrid projects. So, any configuration changes in your projects, and any cost reduction or probably improvement in IRR that you are seeing?
Rishi Shah : Not as of now. I think most of the projects have small batteries. So, some of our projects which

are hybrid or RTC projects, they have battery component already built -in, but these are not very
large. So, there will not be a significant shift in cost.

Moderator: Next follow -up question is from the line of Mohit Kumar from ICICI Securities.
Mohit Kumar : Sir, a few clarifications. One is, did you use to book Generation Based Incentive for the RE mainly in the fourth quarter. Is that understanding right?
Saurabh Mashruwala : No, it was across throughout the year every quarter. On one of the projects, the time period and the amount was huge basically. So that is why it discontinued from the last quarter onwards.
Yes.
Mohit Kumar : And sir, given the wind heavy portfolio, how do you see the impact of DSM, the new regulation? And can you please help us with the current status of the new regulation?
Saurabh Mashruwala : Our portfolio is not a wind -heavy. I would say, it's a balanced portfolio. So, if you look at the 4 gigawatt capacity we are commissioning, almost 50% is coming from the wind, 50% is coming from the Solar. It's not a wind heavy portfolio, I would say.
Mohit Kumar : What about the existing portfolio?
Saurabh Mashruwala : Sorry?
Mohit Kumar : The existing portfolio has -- how do you see the impact portfolio...
Saurabh Mashruwala : 60% wind, 40% solar. Yes, some impact is there in terms of PLF, I would say.
Mohit Kumar : My third question, sir, the -- are you seeing the incremental opportunity, thermal bidding opportunity for the states? And do we -- are we looking to bid for it?
Saurabh Mashruwala : Yes, there are a couple of states contemplating of announcing the thermal capacity. So, we are actively looking at it.
Mohit Kumar : Understood. My last question on the merchant capacity, which you spoke about on the RE side. Is there any configuration between the Solar and Wind you're looking at? And are you also looking to add battery and battery to that to ensure that you get a highe r tariff?
Saurabh Mashruwala : So, if you look at our profile of our bidding pattern of last 2 years, I would say we are more inclined towards a complex project like hybrid project, and RTC kind of a project . We are focusing more on those projects so that we can get better tariff also, better IRR also.
Mohit Kumar : Sorry, sir, my question was the merchant capacity of 603 megawatt, which you have mentioned in the PP T. Are you looking at Wind and Solar? And are you looking to add also battery in this?
Rishi Shah : So, Mohit, if you look at our 603 megawatts, it would be slightly higher on the Wind side out of -- and there is some Solar. Right now, we are not contemplating any battery usage there. Going forward, if we feel that it is required, we may add on. But as o f now, we are not adding any battery because it is more of Wind, which is typically non -solar hours and where you can get better returns.
Mohit Kumar : Understood, sir. Thank you and best of luck, sir .

Rishi Shah : Thank you.
Moderator: Next question is from the line of Neil Ostwal from PGIM India.
Neil Ostwal : Sir, do you have any current capacities tied up on the C&I side? Do you plan to tie up future -- significant future capacity on the C&I side? And what is your view on the C&I segment?
Rishi Shah : So, I think, Neil, we currently have around 860 megawatts of C&I projects under construction. We keep on looking at tying up C&I with C&I consumers as and when they are available. So, we are open of tying up additional capacities, but as of now, we have 86 0 megawatts of C&I projects under construction.
Neil Ostwal : Understood, sir. Thank you .
Rishi Shah : Thank you.
Moderator: Next follow -up question is from the line of Nirmal from . Please, go ahead .
Nirmal : Sir, just wanted to understand how you are thinking about your gas -fired plant business in the long term, given that LNG as a fuel has proven expensive for India, and that's why that's one of the reasons why we have seen Indian plants running at 15%, 20% P LF. And also there was an impending -- global gas glut that was expected to come in 2027 due to increased liquefaction capacity. And due to Iran war, that has also been pushed forward. So, I just wanted to understand what PLFs are you expecting over the lo ng run?
Saurabh Mashruwala : So basically, you are right, the gas glut is coming in basically, lots of gas is going to flow in. Maybe because of the Iran war, some pushback will be there in terms of timing, I would say not in terms of availability going forward. Otherwise, we don't se e any change in the situation,

except some timing will be delayed, I would say, more gas will be flow, I would say. So, in terms of PLF, it's difficult to predict the PLF. But yes, availability may not be the issue going forward, price. So, one ha

s to monitor the price and then take our calls.
Rishi Shah : And the other thing is if you look at our portfolio, around 50% of our portfolio gas -based power plant, we have tied up long -term PPAs with our own discoms . So there, we are getting fixed - cost recovery on the availability basis, so that should not be an issue. As far as merchant capacities are concerned, we take the benefit of short -term pricing mismatches. This year, it is slightly constrained because of LNG or very high cost of LNG.
But if you look at last 4 to 5 years, we have been able to make decent profits out of these merchant capacities, which we have. So, our expectation going forward is once all this subsides, India as a market demand should improve and there will always be a deficit of power going forward, which will allow us to take benefit from our merchant capacities. That is the expectation right now.
Moderator: Next question is from the line of Sunny from Avendus Spark. Please go ahead.
Sunny : Yes. I just forgot to ask one question. After June of this year, what is the source of gas we have to show availability at SUGEN and UNOSUGEN.

Saurabh Mashruwala : It's basically short term; we have to buy from the short -term market basically on the spot is in the short -term. We are doing the short -term contracts. Gas is available, gas is not issue.
Basically, at what price we are getting gas.
Rishi Shah : Bharani , I think the question is the price, not availability of gas. So, for demonstrating availability, we can -- gas is amply available. Now whether DISCOM is willing to take that gas and use that electricity at high rates or they can -- they are able to manage i t from buying it from the merchant market, that balancing will have to be done. So as far as availability of plant is concerned, there is no shortage of gas. It is only the price which is higher.
Sunny : Sure. When you say spot, it would be gas from IGX, something like that or.
Rishi Shah : No, spot cargoes. What he's trying to say spot cargoes. Right now, domestic gas is not available as government has pooled everything.
Saurabh Mashruwala : We have to import the gas...
Sunny : Understood. So hence, when the tenders are invited, you would be able to get it in the short notice.
Rishi Shah : Which sort of tenders?
Sunny : The spot cargo.
Rishi Shah : Yes, yes. So, we keep on doing -- if you are procuring cargo, we generally do -- we float a tender in the international market and then we bid it out.
Moderator: As there are no further questions, I'll now hand the conference over to Mr. Saurabh Mashruwala for closing comments.
Saurabh Mashruwala : Thank you, everybody, for joining Torrent Power earnings call. We wish everybody to stay safe and healthy. Thank you so much.
Moderator: Thank you very much. On behalf of Torrent Power Limited, that concludes this conference.
Thank you for joining us, and you may now disconnect your lines.